



# Project Cinema

Industry Analysis and Financial Due Diligence

—

August 12, 2024



August 12, 2024

**Private and confidential**

William Trudeau, Partner  
KPMG LLP  
4600-333 Bay Street  
Toronto, Ontario, Canada

**Project Cinema — Buy-side Due Diligence**

We have completed our procedures to assist WT Inc. (“Client” or “you”) in performing financial due diligence in connection with your prospective investment (the “Transaction”) in Cineplex Inc. (the “Company”) in accordance with the terms of the engagement letter dated May 17, 2024 including its Terms and Conditions for Advisory Services.

**Objective**

The objective of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you. The objective of our engagement was to assist you as you evaluate potential strategic alternatives for the business. Our work was conducted based on information provided by publicly available financial statements and other commentary, obtained through quarterly reports and management discussion & analysis (MD&A) reports.

The scope of our work is to provide information to you on a non-reliance basis and does not in any way involve advice or recommendations as to whether to proceed with the transaction. Additional due diligence procedures should be completed to the extent it considers necessary.

**Basis of Information**

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on the Target’s internal control over financial reporting or on the information presented in our report and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was received from the Target’s quarterly and annual reports from 2021 to Q1-2024. Since many aspects of the prospective transaction have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring after March 31, 2024.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of the business and, as such and as agreed in the Engagement Agreement, this report may be provided to any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether to proceed with a transaction. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

KPMG LLP



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# Basis of preparation

## Overview

Unless otherwise noted, the income statement and balance sheet are presented in \$CAD and in thousands (\$'000).

The financial information presented herein reflects the consolidated results of the Company for fiscal years 2021, 2022, and 2023, as well as year to date March 2024. The Company's fiscal-year end is December 31.

The Company is audited annually by PricewaterhouseCoopers LLC. The most recent audit was completed for the fiscal year ended / as at December 31, 2023.

## Data limitations

Financial statements have been built on a quarterly basis, in line with audited reported information released by the Company.

The information sources used in the creation, analysis and presentation of this report are as follows:

- Quarterly audited financial statements from Cineplex Inc. Investor Relations
- Quarterly management discussion & analysis (MD&A) with Cineplex Management team.
- Quarterly earnings calls with Management team.
- Industry research from a variety reports and interviews
- Certain financial statement accounts remain consolidated and on a general level throughout the year, with general accounts being broken into constituent parts only at year end. This created an obstacle in determining the impact of certain accounts on a quarterly basis. Additionally, some financial statement accounts remain consolidated throughout the entire period, which limit the identification of business trends and further analysis.

No further management contact was initiated. We consider access to management extremely limited.

## Quality of information

All financial information is sourced to the audited and reported public documents, with the accuracy and detailed required of a public company. Further qualitative information is represented by management through MD&A documents, earnings calls or other publications released by the company relating to investor relations.

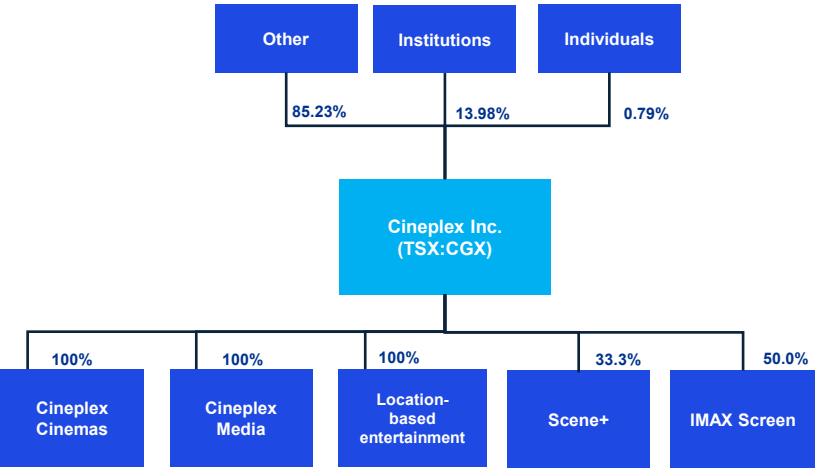
# 01

## Executive summary

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# Business overview

## Legal chart



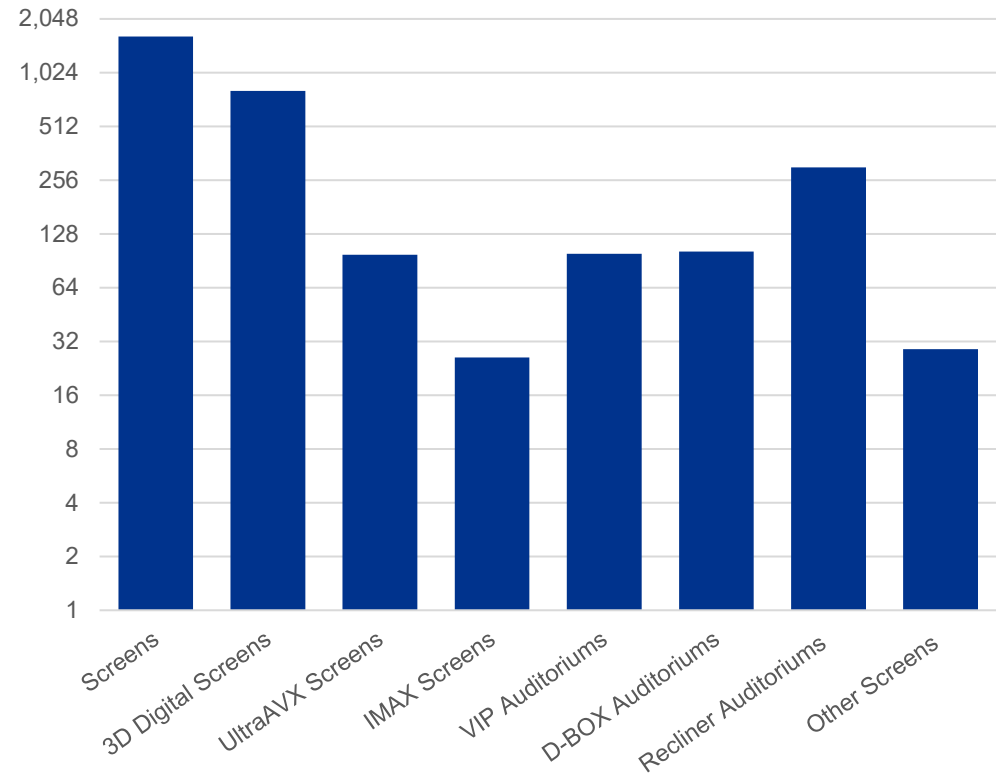
## Company overview

Cineplex “The Company” is a Canadian brand that operates in the film entertainment and content, amusement, and media sectors. The Company offers its services to guests through its circuit of movie theatres, and location-based entertainment venues including the Rec Room and Playdium. It also operates businesses in cinema media through Cineplex Media, digital place-based media through Cineplex Digital Media, and until February 1, 2024, amusement solutions through Player One Amusement Group. Furthermore, the Company is a partner in Scene+, Canada’s largest entertainment and lifestyle loyalty program.

As of March 31, 2024, the Company owned, leased, or had a joint venture interest in 1,631 screens in 158 theatres as well as 13 location-based entertainment venues in six provinces.

Source: 2021-Q1 2024 Cineplex Inc. Management’s Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements

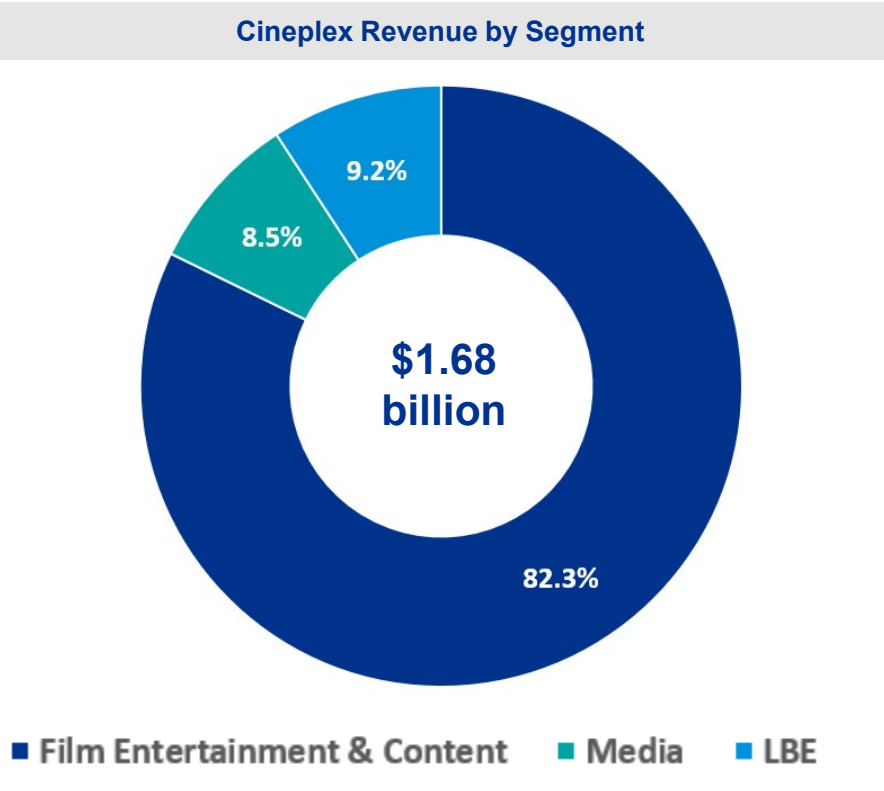
## Cineplex screens by category through 158 theatres across Canada as of Mar-24 (#)



\*Other screens includes 7 4DX screens, 5 Cineplex Clubhouse screens, and 17 ScreenX screens

# Operating segments

The Company’s core operating segments include 1) film entertainment and content 2) media and 3) location based entertainment. Film entertainment and content contributed \$1.38 billion to the Company’s total revenues in the TTM Mar-24 period, media contributed \$141.0 million, and location based entertainment contributed \$162.9 million.



## Film Entertainment and Content

Theatre exhibition is the Company’s core business. Box office revenues are highly dependent on the marketability, quality, and appeal of the film product released. Furthermore, the Company’s theatre concession service offers a range of food choices that are meant to compliment and enhance the theatre experience.

## Media

The Company’s media branch serves businesses over two major categories: Cinema media, which incorporates advertising mediums related to theatre exhibition, and digital place-based media which provides digital signage solutions and in-store related media networks for leading brands in shopping centers and other entertainment destinations.

## Location Based Entertainment (“LBE”)

The Company operates LBE establishments under the brand names “The Rec Room” and “Playdium.” The Rec Room is a social entertainment destination that targets millennials featuring a wide range of entertainment options including video, recreational gaming, and live entertainment. Playdium is an arcade destination targeting families and teenagers in mid-sized communities.

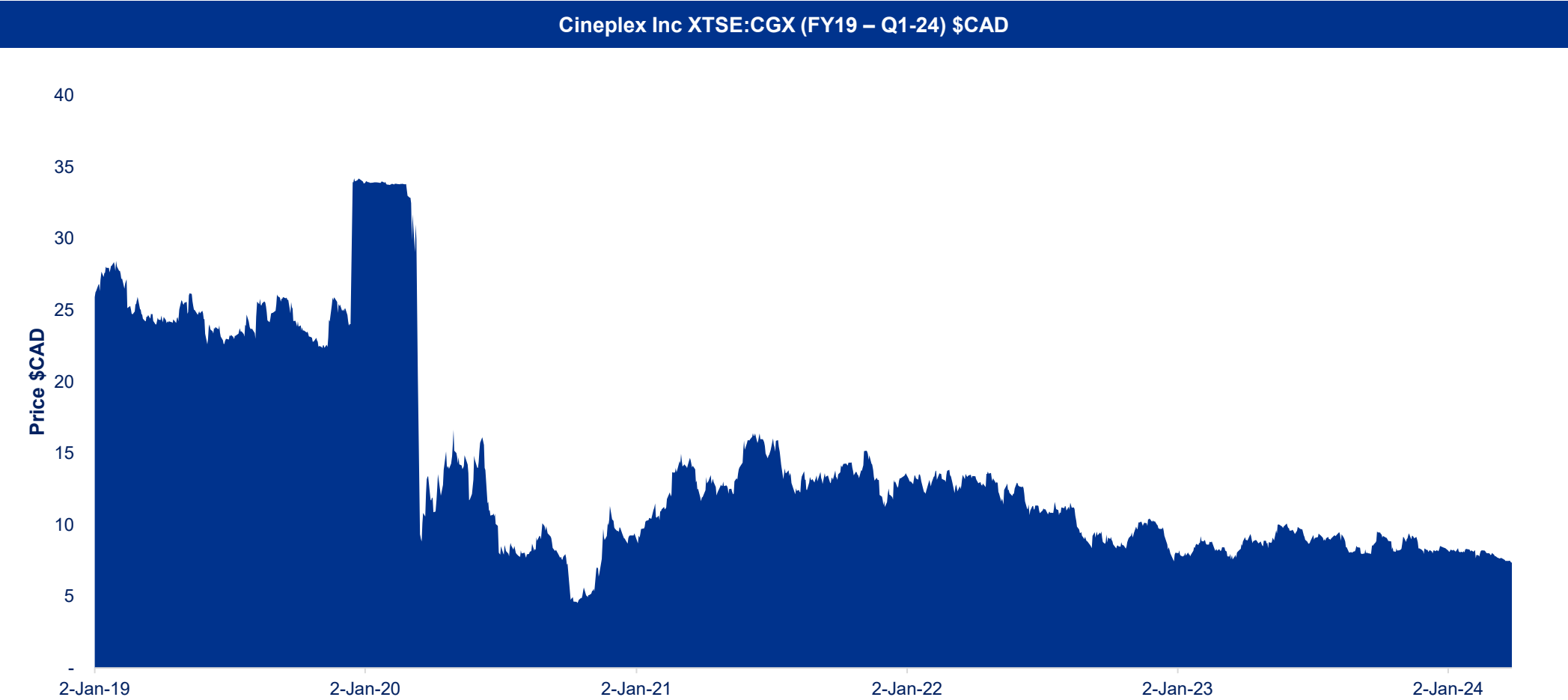


Source: 2021-Q1 2024 Cineplex Inc. Management’s Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



# Company stock price

The Company’s stock price has decreased by 19.8% from \$9.27 to \$7.43 throughout the scope period.



Source: Refinitiv workspace



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## Key findings

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# Key findings (1/2) – Financials

The Company's financial statements are prepared under International Financial Reporting Standards (IFRS) and operates with a December 31 year-end. Below presents the Company's quality of earnings, net working capital, and net debt statements on an adjusted basis.

## Quality of earnings

[Read more](#)

| Quality of earnings               |           |           |           |            |
|-----------------------------------|-----------|-----------|-----------|------------|
| \$'000                            | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                 | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted       | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                  | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments      | -         | -         | (34,896)  | (23,986)   |
| Management adjustments            | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments             | (87,784)  | (56,173)  | 3,498     | 4,761      |
| Pro forma adjustments             | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted        | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

Select adjustments to TTM Mar-24 include:

**Litigation costs (+\$4.5 million):** This adjustment removes the effect of litigation costs on EBITDA associated with the Company's action against Cineworld as a result of Cineworld's repudiation to acquire all of the outstanding shares of the Company.

**Realized foreign gain (+\$261,000):** Management adjustments reversed the entirety of the effect of foreign exchange on EBITDA. This adjustment adds back the associated realized gain.

## Net working capital

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| Net working capital                     |           |           |           |            |
|-----------------------------------------|-----------|-----------|-----------|------------|
| \$'000                                  | Average   |           |           |            |
|                                         | FY21      | FY22      | FY23      | TTM Mar-24 |
| Net working capital, reported           | (338,413) | (344,350) | (265,515) | (256,667)  |
| Definitional adjustments                | 73,062    | 65,137    | 41,876    | 21,401     |
| Diligence adjustments                   | (15,081)  | 9,188     | (13,485)  | (7,794)    |
| Net working capital, diligence adjusted | (280,432) | (270,026) | (237,124) | (243,060)  |
| TTM adjusted net sales                  | 556,387   | 966,782   | 1,309,119 | 1,357,105  |
| Adjusted WC, as a % of net sales        | (50.4%)   | (27.9%)   | (18.1%)   | (17.9%)    |
| Pro forma adjustments                   | (1,480)   | (3,316)   | (3,777)   | (4,247)    |
| Net working capital, pro forma adjusted | (281,913) | (273,342) | (240,901) | (247,308)  |

Select adjustments to average TTM Mar-24 include:

**Player One Amusement Group ("P1AG") removal (-\$10.2 million):** As of Dec-23, the Company sold P1AG. This adjustment removes P1AG's impact on NWC items for historical periods. The adjustment was calculated as a percentage of current assets and liabilities held for sale relating to P1AG to total current assets and liabilities for each quarter.

**Litigation accrual (+\$1.1 million):** This adjustment removes the AP impact of litigation costs stemming from the Cineworld lawsuit as it is non-recurring.

## Net debt

[Read more](#)

| Net debt                        |                |
|---------------------------------|----------------|
|                                 | As at          |
| \$'000                          | Ref. 31-Mar-24 |
| Long-term debt                  | 1 (731,452)    |
| Other liabilities               | (6,250)        |
| Net debt / (cash), reported     | (737,702)      |
| Definitional adjustments        | (77,018)       |
| Net debt, definitional adjusted | (814,720)      |
| Diligence adjustments           | (42,997)       |
| Net debt, diligence adjusted    | (857,717)      |

Select adjustments to Mar-24 include:

**Capital commitments (-\$35.0 million):** The Company has aggregate gross capital commitments of \$43.0 million (\$35.0 million net of tenant inducements) related to the completion of construction of one theatre, three location-based entertainment locations, and other premium experiences.

**Cash impact of delayed interest payment (-\$2.6 million):** The balance of the cash and cash equivalents account as of Mar-24 is significantly higher than its historical balances due to interest payments being deferred to Apr-24 due to the timing of a statutory holiday. This adjustment decreases cash by the amount of interest expense deferred to Apr-24.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements

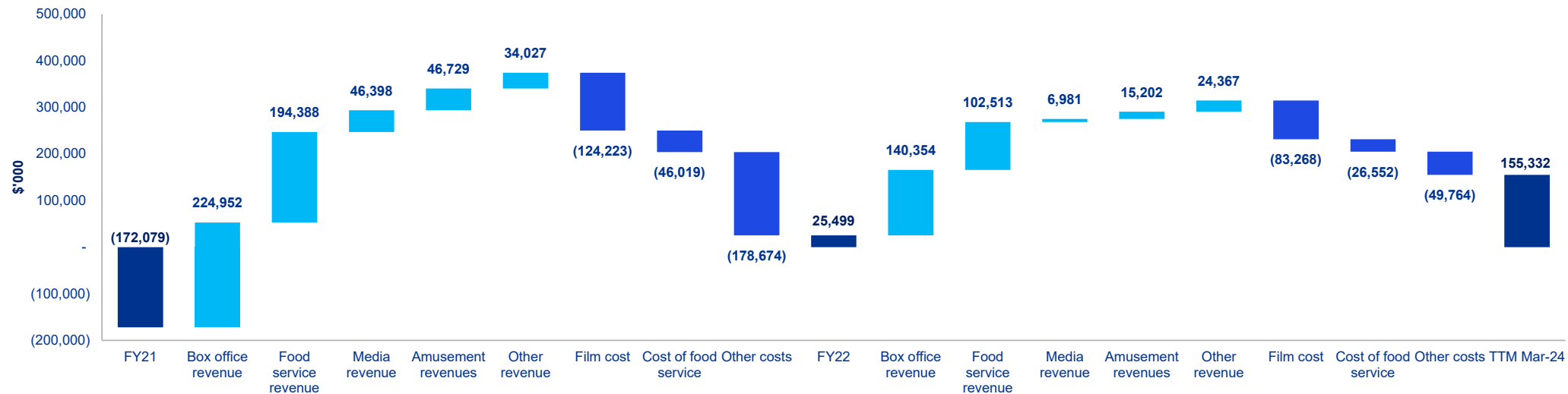


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# EBITDA bridge (1/2)

Diligence adjusted EBITDA increases over the historical period from FY21 to TTM Mar-24.



**Revenue:** Diligence adjusted revenue increased by 150.2% from \$556.4 million in FY21 to \$1.39 billion in the TTM Mar-24 period. This increase was primarily driven by an increase in box office revenue and food service revenue.

- Box office revenue** – Increased by 155.0% from \$236.3 million to \$601.6 million across the scope period. The increase from FY21 to FY22 was primarily driven by increased theatre attendance levels as a result of theatres re-opening after COVID-19, as well as an increase in BPP. Increases from FY22 onwards were primarily due to an increase in attendance levels due to significant movie releases such as Barbie and Oppenheimer. BPP increases were inflationary within the TTM Mar-24 period and percentage of total box office from premium priced product decreased.
- Food service revenue** – Increased by 159.0% from \$187.0 million in FY21 to \$483.9 million in the TTM Mar-24 period. This increase is primarily driven by increased theatre attendance levels, and management represents that an expansion of menu offerings drove CPP increases which drove food service revenues as well.
- Media revenue** – Total media revenue saw an increase of 137.0% across the scope period which was primarily driven by an 82.0% increase in cinema media revenues from \$33.0 million to \$78.2 million. Digital place based media saw a relatively smaller increase of 25.17% which incorporates a 2.17% decrease in the FY23 period due to lower project revenues.

| Key performance indicators              |       |       |            |
|-----------------------------------------|-------|-------|------------|
| \$'000                                  | FY21  | FY22  | TTM Mar-24 |
| BPP                                     | 10.94 | 12.15 | 12.62      |
| CPP                                     | 7.51  | 8.74  | 8.97       |
| % Total box from premium priced product | 28.0% | 41.4% | 39.8%      |

BPP: box office revenues per patron

CPP: concession revenues per patron

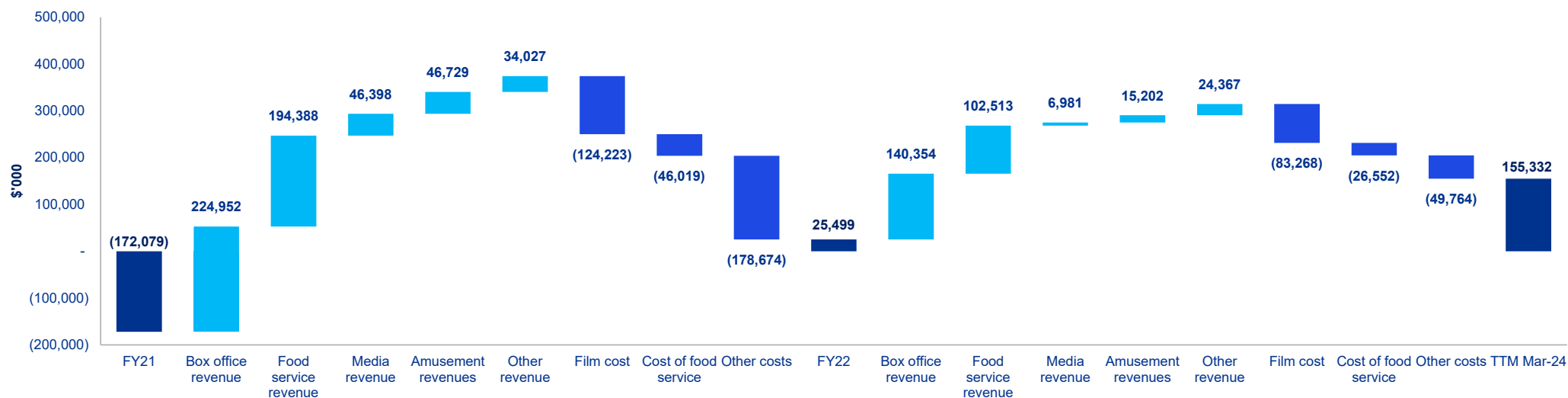
Source: 021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG analysis



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# EBITDA bridge (2/2)

Diligence adjusted EBITDA increases over the historical period from FY21 to TTM Mar-24.



**Film cost:** Increased from \$114.7 million in FY21 to \$322.1 million in the TTM Mar-24 period. Additionally, film cost increased from 48.0% to 53.0% of box office revenue throughout the scope period due to lowered negotiation power regarding licensing costs. However, Q1-24 saw lower film costs due to top films in the current period having lower settlement rates.

**Cost of food service:** Increased from \$41.7 million in FY21 to \$114.3 million in the TTM Mar-24 period, representing a 174.1% increase. This growth is primarily due to the associated growth in food service revenue. LBE locations saw a \$9.4 million increase in cost of food service, which is consistent with its 236% increase in associated food service revenue.

**Total other cost:** Employee wages and salaries saw an increase of \$22.9 million across the scope period. Management states that this is due to an increase in demand for employees as theatre attendance levels increase. Furthermore, the Company saw a \$15.5 million increase in purchased services, as well as a \$17.2 million increase in advertising and promotion which aligns with pre-COVID levels.

**EBITDA margin:** The Company's EBITDA margins increased by 33.24% from FY21 to FY22, and by 9.27% from FY22 to FY23. However, EBITDA margins decreased by 0.43% from FY23 to TTM Mar-24. This is due to the \$18.1 million decrease in EBITDA from Q4-23 to Q1-24 due to release delays as a result of the Writers Guild of America strike.

Source: 021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG analysis



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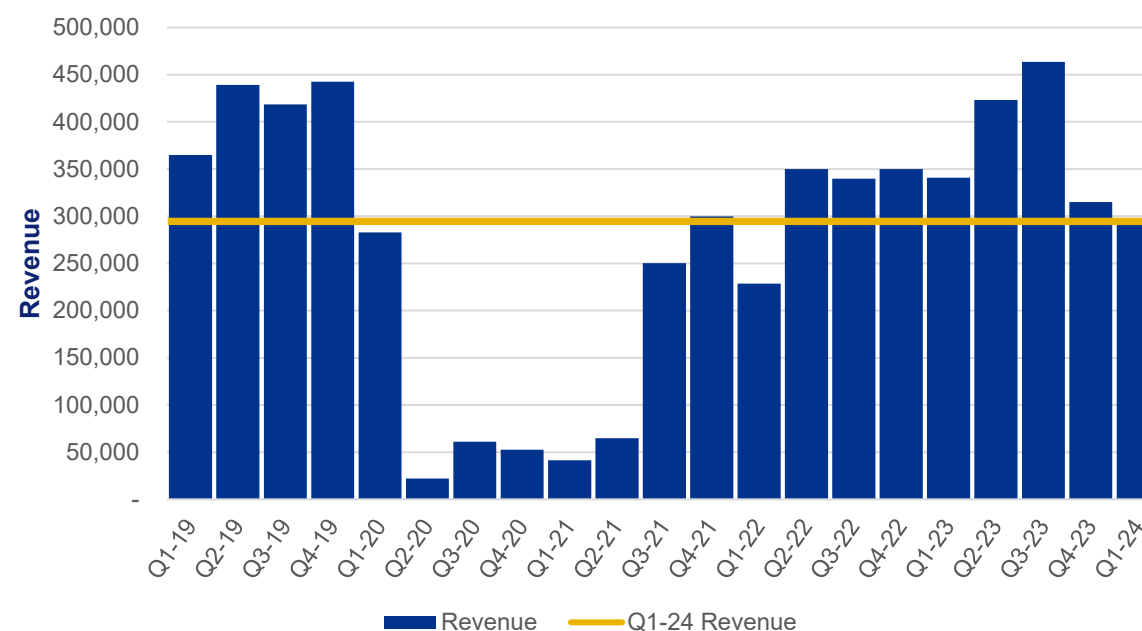
# Key findings – COVID-19 recoverability (1/2)

The Company recorded a TTM Mar-24 reported EBITDA of \$289.6 million which is 28.9% less than its FY19 reported EBITDA of \$407.6 million. However, TTM Mar-24 EBITDA was affected by production delays related to the impact of the writers' and actors' strikes from May 2<sup>nd</sup>, 2023 to September 27<sup>th</sup>, 2023. Therefore, YTD Q3-23 EBITDA results of \$287.4 million compared to Q3 YTD-19 EBITDA results of \$297.1 million are more indicative of the Company's COVID-19 recoverability.

## COVID-19 recoverability

- YTD Q3-23 revenues totaled to \$1.23 billion signifying a 0.4% increase from YTD Q3-19 revenues of \$1.22 billion. Despite this increase in revenues, the Company saw a 3.2% decrease in EBITDA and a 0.9% decrease in EBITDA margins primarily due to an 11.5% increase in cost of food service.
- TTM Mar-24 EBITDA margin was 19.4% whereas the FY19 EBITDA margin was 24.5% signifying a 5.1% increase is needed to reach pre-COVID EBITDA margin levels.
- Management represents that its ability to operate successfully within film entertainment and content depends upon the availability and appeal of filmed content, as well as the ability of the Company to license films. The Company's success within this regard has been continually affected by the rise of streaming services. To mitigate this, management looks to continue to diversify its revenue opportunities within location based entertainment, media, and premium priced services.

## Total revenue (FY19 to Q1-24)'000



Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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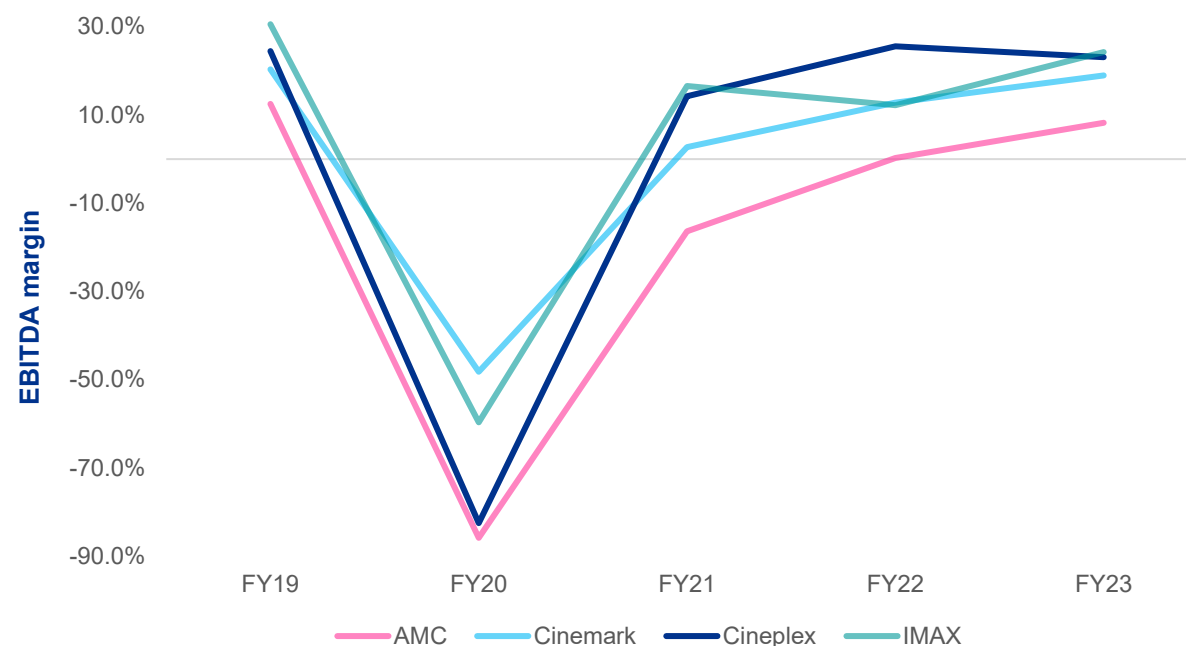
# Key findings – COVID-19 recoverability (2/2)

The film content and entertainment industry has seen a cumulative EBITDA increase of 194.0% from FY20 to FY23, and similarly a 72.8% increase in EBITDA margins from an average of (54.6)% in FY20 to an average of 18.2% in FY23. However, the industry's profitability still isn't up to pre-COVID levels with EBITDA margins down by 3.95% compared to an average EBITDA margin of 22.2% in FY19.

## COVID-19 impact on industry

- The advent of online streaming services has disrupted the conventional cinema industry as a whole, a shift that was further accelerated by the COVID-19 pandemic. A study revealed a significant shift in consumers' movie-watching preferences from theatres to streaming. In 2018, 28.0% of respondents preferred watching movies in theaters compared to 15.0% who preferred streaming. By June 2020, these figures nearly reversed with 14.0% favoring theatres and 36.0% streaming. By May 2020, 62.0% of North American adults subscribed to at least one streaming service, and the number of North American streaming subscribers doubled from 125.0 million to approximately 250.0 million (Consumers and the future of the film industry, Greenbook).
- Three comparable companies were analyzed: AMC Entertainment Holdings, Cinemark Holdings, and IMAX Corporation. The four companies including Cineplex had a \$1.4 billion cumulative EBITDA in YTD Q3-23, a 17.3% decrease from YTD Q3-19 cumulative EBITDA of \$1.7 billion. AMC, a US based theatrical exhibition business and IMAX, a technology platform for entertainment, saw more significant decreases with EBITDA margins decreasing by 4.3% and 6.3% respectively since the YTD Q3-19 period.
- Similarly, cumulative revenues for the four companies have not yet reached pre-COVID levels as YTD Q3-19 saw total revenues of \$10.1 billion and YTD Q3-23 saw total revenues of \$10.0 billion, meaning a 1.7% increase in revenues is needed to reach pre-COVID levels.

## Film industry EBITDA margin recovery (2019 – 2023)



Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis, Greenbook



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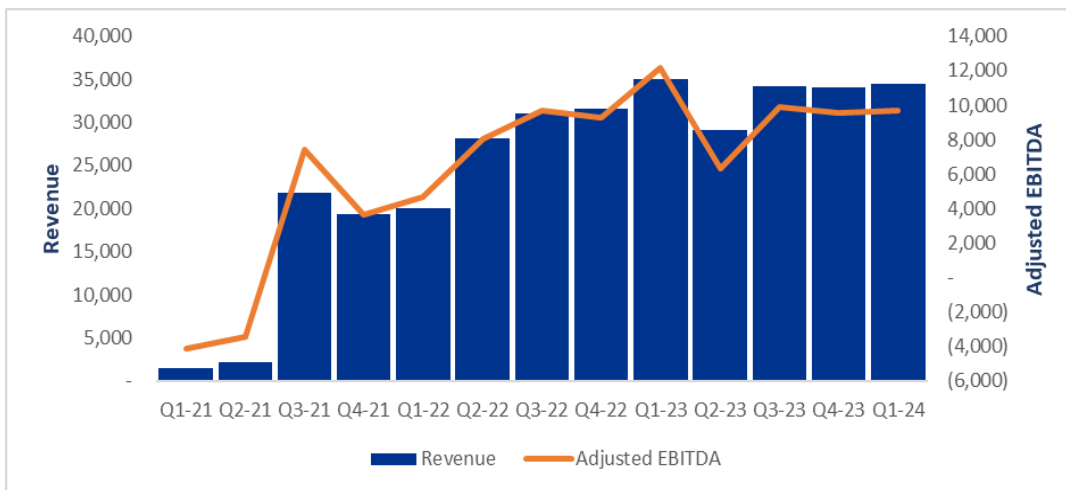
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# Key findings – Location based entertainment

Management is strategically focusing on diversification through their location based entertainment (LBE) segment to broaden their revenue streams and reduce reliance on traditional cinema operations. LBE revenues makes up 9.2% of total Company revenue, a 1.2% increase since FY21. LBEs saw an increase in adjusted store level EBITDA by 19.9% from FY22 to FY23, and an adjusted store level EBITDA margin increase of 0.1% However, in the TTM Mar-24 period, the company experienced a decrease in adjusted store level EBITDA by 6.4%.

| LBE summary         |          |         |         |            | As % of revenue |        |        |            |
|---------------------|----------|---------|---------|------------|-----------------|--------|--------|------------|
| \$'000              | Reported |         |         |            |                 |        |        |            |
|                     | FY21     | FY22    | FY23    | TTM Mar-24 | FY21            | FY22   | FY23   | TTM Mar-24 |
| Revenue             | 44,762   | 110,832 | 132,378 | 131,792    | 100.0%          | 100.0% | 100.0% | 100.0%     |
| Total costs         | 35,317   | 76,471  | 94,430  | 96,279     | 78.9%           | 69.0%  | 71.3%  | 73.1%      |
| EBITDA, as reported | 9,445    | 34,361  | 37,948  | 35,513     | 21.1%           | 31.0%  | 28.7%  | 26.9%      |
| EBITDA, adjusted    | 3,545    | 31,657  | 37,948  | 35,513     | 7.9%            | 28.6%  | 28.7%  | 26.9%      |

Total LBE revenue & adjusted EBITDA (FY21 – Q1-24)'000



- Management represents that the Q1-24 decreased revenues of 1.7% from Q1-23 are due to inclement weather in key regions resulting in the closure of two LBE locations for short periods during the quarter. The decline in margins is also a result of a shift in the sales mix of consumers. Amusement revenues, which typically yield higher margins than food service revenues, have dropped from 65.1% to 60.7% of total revenue over the scope period. Meanwhile, food service revenues as a percentage of total revenue have risen from 33.2% to 36.6%.
- LBE adjusted EBITDA margins were 28.7% in the FY23 period which is 17.1% higher than the Company's total adjusted EBITDA margins. Additionally, LBEs have seen an adjusted EBITDA growth of 901.7% from FY21 to FY23, whereas the Company as a whole has seen an adjusted EBITDA growth of 193.5%
- Management states that three new LBE builds are in the works for Q4-24. The Company has gross capital commitments of \$43.0 million (\$35.0 million net of tenant inducements) related to the completion of the 3 new LBE builds and other premium experiences. Management forecasts revenue growth to double due to the addition of 17 more locations in the future within new geographies and new concepts.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Key findings – Future outlook

## Q3-24 to FY25 Outlook

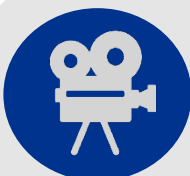
- Theatre attendance levels, box office, food service, and cinema media revenues are highly dependent on the appeal of the Company's screened content. A number of films shifted release to the second half of 2024. As a result of this shift, along with production delays related to the impact of the writers' and actors' strike, industry observers expect the second quarters' box office results to be challenging.
- However, management remains optimistic of earnings in the back-end of the year, as well as into 2025 with the release of Moana 2, Joker, Zootopia 2, and Avatar 3. Expected worldwide box office earnings for these movies are \$5.1 billion cumulatively.
- Furthermore, management states that the continued focus will be on providing guests with a variety of premium viewing options, expanding their location-based entertainment offerings, and continuing to roll out its digital place-based media solutions.

## Risks



### Customer risk

All other forms of entertainment are substantial competitors to the movie-going experience. The Company aims to deliver value to its guests through a variety of entertainment experiences and price points. Significant price increases may deter consumer spending on entertainment options to other alternatives which will negatively impact the Company's business operations.



### Film entertainment and content risk

A reduction in quality or quantity of film product, any disruption in the production or release of films, and the introduction of new delivery platforms for first run product, would have a negative effect on movie theatre attendance and adversely affect the Company's business as attendance levels are a key value driver.



### Media risk

The Company has numerous large media and digital place-based media customers, the loss of which could impact the Company's results. There is no guarantee that the Company could replace the revenues generated by these large customers if their business was lost.

## Future film analysis - worldwide box office earnings

| \$'000          | Q1-24 (actual) | Q2-24 (actual)     | Q3-24 (projected) | Q4-24 (projected)      | 2025 (projected) |             |            |                |            |
|-----------------|----------------|--------------------|-------------------|------------------------|------------------|-------------|------------|----------------|------------|
| Dune: Part Two  | 711,844        | Inside Out 2       | 799,750           | Transformers           | 402,112          | Moana 2     | >1,000,000 | Jurassic World | 265,000    |
| Kung Fu Panda 4 | 410,000        | Planet of the Apes | 237,000           | Alien                  | 350,000          | Joker       | 825,000    | Zootopia 2     | >1,000,000 |
| Migration       | 298,780        | IF                 | 185,001           | Deadpool and Wolverine | 220,000          | Mufasa      | 690,000    | Avatar 3       | 2,300,000  |
| Wonka           | 632,300        | Furiosa            | 172,773           | Despicable me 4        | 200,000          | Venom 3     | 675,000    | Snow White     | 340,000    |
| Anyone but you  | 220,100        | Fall Guy           | 157,900           | Beetle Juice           | 170,000          | Gladiator 2 | 630,200    |                |            |
| Total           | 2,273,024      | 1,552,424          | 1,342,112         | 3,820,200              | 3,905,000        |             |            |                |            |

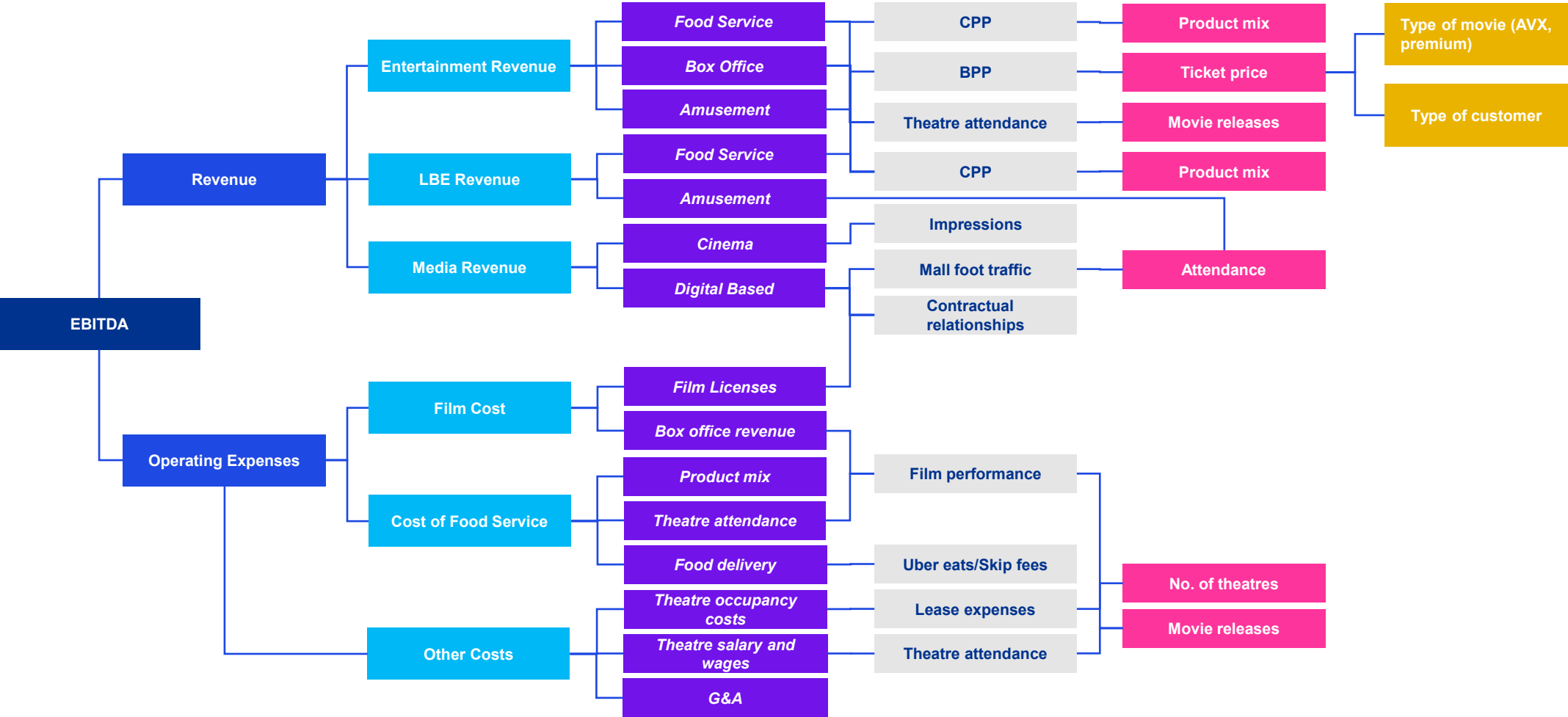
Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, boxofficepro.com



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# Revenue drivers & cost levers – value creation (1/2)



# Revenue drivers & cost levers – value creation (2/2)

## Quantification of CPP increase

### Potential gross profit growth

|                               | TTM<br>Mar-24 |
|-------------------------------|---------------|
| Theatre food service revenues | 429,789       |
| @ AMC CPP growth rate         | 467,273       |
| Difference                    | 37,485        |
| Gross margin (%)              | 76.8%         |
| <b>Gross profit increase</b>  | <b>28,805</b> |

### Supplemental information

|                 | FY22   | FY23   | TTM<br>Mar-24 | % change |
|-----------------|--------|--------|---------------|----------|
| <b>Cineplex</b> |        |        |               |          |
| CPP             | 8.74   | 8.95   | 8.97          | 2.7%     |
| Attendance      | 38,045 | 47,862 | 47,914        | 25.9%    |
| Gross margin %  | 77.6%  | 76.9%  | 76.8%         | (0.9%)   |
| <b>AMC</b>      |        |        |               |          |
| CPP             | 7.47   | 7.95   | 8.34          | 11.6%    |

## Recommendations within concession offerings



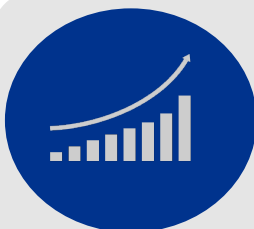
### More extensive menu

AMC theatres boasts a more extensive variety in their concession offerings, with four distinct menus: the AMC General Theatres menu, the AMC Dine-In menu, the AMC Classic Menu, and the MacGuffins Bar menu. Furthermore, AMC theatres frequently offer a range of promotional deals, categorized by both movie and food type, enhancing the overall customer experience. Contrarily, the Company provides a more limited selection, with only two menu options available to patrons: the Classic Concessions and the Outtakes menus within their theatre locations.



### Complete rollout of order ahead

The Company has completed their mobile order ahead rollout within the Q1-24 period, whereas AMC has had mobile order ahead since 2021. Revenues and costs associated with this program have not been specified by either management. It is noteworthy that AMC Theatres' order-ahead menu is significantly more comprehensive than that of the Company's, boasting over 50 options. Conversely, the Company's menu is more limited, offering less than 30 options.



### Better concession marketing

In comparison to its direct competitors, the Company has fewer options in its concessions, and an apparent lack of marketing effort. The Company could feature a page dedicated to communicating its menu offerings, and encourage patrons to purchase concessions prior to their visit to theatres. Additionally, concessions can be more significantly imbedded in the Company's broader marketing strategy, especially considering its high margins.

Entertainment Revenue

Food Service

CPP

Product mix

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, 021-Q1 2024 AMC. Management's Discussion and Analysis, 2021-Q1 2024 AMC Inc. Financial Statements

# 04

## Historical trading

- |     |                        |    |
|-----|------------------------|----|
| 4.1 | Profit & loss overview | 19 |
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# Profit & loss overview

| Quarterly IS                                                |                  |                  |                  |                  |
|-------------------------------------------------------------|------------------|------------------|------------------|------------------|
| \$'000                                                      | Reported         |                  |                  |                  |
|                                                             | FY21             | FY22             | FY23             | TTM Mar-24       |
| Box office revenues                                         | 236,320          | 461,272          | 599,903          | 601,626          |
| Food service revenues                                       | 186,998          | 381,386          | 483,149          | 483,899          |
| Media revenues                                              | 65,330           | 111,728          | 118,655          | 118,709          |
| Amusement revenues                                          | 134,473          | 246,601          | 250,352          | 200,365          |
| Other revenues                                              | 33,548           | 67,575           | 90,680           | 91,942           |
| <b>Total Revenue</b>                                        | <b>656,669</b>   | <b>1,268,562</b> | <b>1,542,739</b> | <b>1,496,541</b> |
| Film cost                                                   | (114,674)        | (238,897)        | (323,412)        | (322,165)        |
| Cost of food service                                        | (41,683)         | (87,702)         | (113,987)        | (114,254)        |
| Depreciation - right-of-use assets                          | (102,247)        | (95,517)         | (89,620)         | (91,892)         |
| Depreciation and amortization - other assets                | (113,042)        | (105,197)        | (97,192)         | (92,981)         |
| Gain (loss) on disposal of assets                           | 28,283           | 57,807           | (2,523)          | (1,388)          |
| Total other costs                                           | (439,554)        | (687,738)        | (744,850)        | (716,305)        |
| Operating Expenses                                          | (782,917)        | (1,157,244)      | (1,371,584)      | (1,338,985)      |
| <b>Operating (Loss) Income</b>                              | <b>(126,248)</b> | <b>111,318</b>   | <b>171,155</b>   | <b>157,556</b>   |
| Share of loss of joint ventures and associates              | (755)            | (2,608)          | (4,523)          | (3,933)          |
| Interest expense - lease obligations                        | (58,590)         | (61,842)         | (66,596)         | (68,173)         |
| Interest expense - other                                    | (65,138)         | (60,826)         | (88,871)         | (84,919)         |
| Interest income                                             | 232              | 277              | 897              | 961              |
| Foreign exchange                                            | 43               | 1,371            | (91)             | 159              |
| (Gain) loss on financial instruments recorded at fair value | 8,790            | (6,260)          | 2,610            | (49,066)         |
| Impairment of long lived assets                             | (3,717)          | 19,880           | -                | -                |
| Income (loss) from continuing operations before income tax  | (245,383)        | 1,310            | 14,581           | (47,415)         |
| Current                                                     | (3,339)          | (1,197)          | (1,681)          | 574              |
| Deferred                                                    | -                | -                | 151,116          | 178,060          |
| Income tax recovery (expense)                               | (3,339)          | (1,197)          | 149,435          | 178,634          |
| Net income (loss) from continuing operations                | (248,722)        | 113              | 164,016          | 131,219          |
| Net income from discontinued operations, net of tax         | -                | -                | 3,148            | 71,278           |
| <b>Net income (loss)</b>                                    | <b>(248,722)</b> | <b>113</b>       | <b>167,164</b>   | <b>202,497</b>   |
| Depreciation and amortization - other assets                | 113,042          | 105,197          | 97,192           | 92,981           |
| Depreciation - right-of-use assets                          | 102,247          | 95,517           | 89,620           | 91,892           |
| Interest expense - lease obligations                        | 58,590           | 61,842           | 66,596           | 68,173           |
| Interest expense - other                                    | 65,138           | 60,826           | 88,871           | 84,919           |
| Interest income                                             | (232)            | (277)            | (897)            | (961)            |
| Current                                                     | 3,339            | 1,197            | 1,681            | (574)            |
| Deferred                                                    | -                | -                | (151,116)        | (178,060)        |
| Net income from discontinued operations, net of tax         | -                | -                | (3,148)          | (71,278)         |
| <b>EBITDA</b>                                               | <b>93,402</b>    | <b>324,415</b>   | <b>355,963</b>   | <b>289,589</b>   |

## Overview

**Revenue:** The Company's revenue is broken down into four main segments:

- **Box office:** Includes ticket sales for various films.
- **Food service:** Includes food and beverage purchases across all of the Company's various offerings. Includes concessions and delivery in both theatres and location based entertainment venues.
- **Media:** Includes cinema media, which generates revenues primarily from selling pre-show and show-time advertising in theatres, and digital placed-based media, which provides solutions in quick-service restaurants, financial services, and malls. Cinema media revenue is generated by number of impressions which is driven by theatre attendance levels, whereas digital place based media is contract based.
- **Amusement:** Includes XSCAPE entertainment centers and game rooms in theatres as well as revenues generated at LBE venues. Amusement revenues are generated by ticket sales which are driven by theatre and LBE attendance levels.

**Film cost:** Represents the film rental fees paid to distributors for films exhibited in the Company's theatres. Film costs are calculated as a percentage of box office revenue and are dependent on various factors including the performance of the film. Film costs are accrued on the related box office receipts at either mutually agreed-upon terms or estimated terms.

**Cost of food service:** Represents the cost of concession items and other theatre or LBE food service items sold. Revenues vary with the quantity and mix of concession items sold.

### Other costs:

- **Theatre occupancy expenses:** Includes lease related expenses, percentage rent, and excludes cash rent accounted for as obligations or interest under IFRS 16, *leases*.
- **Other operating expenses:** Consists of fixed and variable expenses, with the largest component being theatre salaries and wages.
- **General and administrative expenses:** Primarily consists of costs associated with managing the Company's business, including film buying, marketing and promotions, operations, theatre food service management etc.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Quality of earnings (1/8) – Overview

| Quality of earnings               |      |           |           |           |            |
|-----------------------------------|------|-----------|-----------|-----------|------------|
| \$'000                            | Ref. | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                 |      | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted       |      | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                  |      | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments      |      | -         | -         | (34,896)  | (23,986)   |
| Management adjustments            |      | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments             |      | (87,784)  | (56,173)  | 3,498     | 4,761      |
| Pro forma adjustments             |      | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted        |      | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted |      | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

*The Quality of Earnings (“QofE”) analysis has been prepared based on the Company’s quarterly publicly available financials.*

*The suitability of EBITDA adjustments as it pertains to the proposed transaction and other factors for consideration may require further investigation to understand the potential impact on business model. The potential adjustments identified are not deemed to be all-inclusive and further diligence may uncover additional or modified adjustments.*

## Overview

### Analysis buildup and reconciliation to audit

The Company’s quarterly financial statements were used to build the financial statements and Quality of Earnings analysis. See Appendix for a detailed overview of the adjusted income statement.

*Note: The latest available audited financial statements are for the period ending December 31, 2023.*

### Adjustments

The nature of adjustments included in the analysis are as follows:

- **Reclassification adjustments:** Reflects reclassification of Player One Amusement Group revenues and expenses to discontinued operations within the FY23 period.
- **EBITDA, reported:** Reflects definitional add-backs (i.e., interest, income taxes, depreciation and amortization) to net income.
- **Management adjustments:** Represents adjustments identified by management within the MD&A for: (i) one-time or non-recurring expenditures, (ii) expenses unrelated to typical operational performance, and (iii) current period cash rent paid or payable related to lease obligations.
- **Diligence adjustments:** Represents adjustments identified during diligence for: (i) one-time or non-recurring expenditures, (ii) expenses unrelated to typical operational performance, and (iii) revisions to management adjustments.
- **Pro forma adjustments:** Represents adjustments to normalize revenues and expenses for previously non-existing items.
- **Other considerations:** Represents other items which were not included as adjustments due to a non-quantifiable or subjective nature. These items should be considered as part of the earnings analysis for sensitivity purposes.

Source: 2021-Q1 2024 Cineplex Inc. Management’s Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Quality of earnings (2/8) – Management adjustments

| Quality of earnings                                                    |      |           |           |           |            |
|------------------------------------------------------------------------|------|-----------|-----------|-----------|------------|
| \$'000                                                                 | Ref. | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                                                      |      | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted                                            |      | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                                                       |      | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments                                           |      | -         | -         | (34,896)  | (23,986)   |
| Reclassified EBITDA                                                    |      | 93,402    | 324,415   | 321,067   | 265,603    |
| Management adjustments                                                 |      |           |           |           |            |
| Cash rent paid/payable related to lease obligations                    |      | (144,222) | (170,022) | (165,607) | (166,451)  |
| Negotiated lease-related cash savings for the period                   |      | -         | -         | -         | -          |
| Cash rent paid not pertaining to current period                        |      | -         | -         | 8         | 44         |
| Lease obligations                                                      | 1    | (144,222) | (170,022) | (165,599) | (166,407)  |
| Unrealized gain (loss) on financial instruments recorded at fair value | 2    | (8,790)   | 6,260     | (2,610)   | 49,066     |
| Gain (loss) on disposal of assets                                      | 3    | (28,283)  | (57,807)  | 2,910     | 1,626      |
| Depreciation and amortization - joint ventures and associates          |      | 25        | 517       | 739       | 798        |
| Taxes and interest of joint ventures and associates                    |      | 45        | 49        | 22        | 16         |
| Joint ventures and associates                                          | 4    | 70        | 566       | 761       | 814        |
| Foreign exchange gain (loss)                                           | 5    | (43)      | (1,371)   | 834       | (131)      |
| Impairment of long-lived assets, goodwill and investments              | 6    | 3,717     | (19,880)  | -         | -          |
| CDCP equity gain (loss)                                                | 7    | (146)     | (489)     | -         | -          |
| Management adjustments                                                 |      | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments                                                  |      | (87,784)  | (56,173)  | 3,498     | 4,761      |
| Pro forma adjustments                                                  |      | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted                                             |      | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted                                      |      | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

## Management adjustments

### 1. Lease obligations

**I. Cash rent paid/payable related to lease obligations:** Subsequent to the adoption of IFRS 16 *leases*, the company effectively removes the charge for amounts paid or payable with respect to leased property and equipment from the calculation of EBITDA. Given the majority of the Company's locations are carried on in leased premises, the company introduced the measure of adjusted EBITDAaL, which includes a deduction for cash rent paid/payable related to lease obligations serving as a supplemental measure of the company's profitability at an operational level.

**II. Negotiated lease-related cash savings for the period:** The company negotiated with landlords and achieved agreements for discounts on lease obligations as a result of COVID-19 closures. This adjustment reverses the quantified savings from these agreements as these are one time, non recurring savings.

**III. Cash rent pertaining to current period:** Under the new lease accounting standards (IFRS 16), lessees are required to recognize a lease liability for the present value of future lease payments. This includes both current and non-current portions, with the non-current portion representing lease payments that are due more than one year in the future. This adjustment reverses cash rent paid not pertaining to the current period as these lease payments are made in advance for future periods or in arrears for past periods and are not indicative of current lease obligations.

*We consider this adjustment to be reasonable.*

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# Quality of earnings (3/8) – Management adjustments

| Quality of earnings                                                    |      |           |           |           |            |
|------------------------------------------------------------------------|------|-----------|-----------|-----------|------------|
| \$'000                                                                 | Ref. | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                                                      |      | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted                                            |      | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                                                       |      | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments                                           |      | -         | -         | (34,896)  | (23,986)   |
| Reclassified EBITDA                                                    |      | 93,402    | 324,415   | 321,067   | 265,603    |
| <b>Management adjustments</b>                                          |      |           |           |           |            |
| Cash rent paid/payable related to lease obligations                    |      | (144,222) | (170,022) | (165,607) | (166,451)  |
| Negotiated lease-related cash savings for the period                   |      | -         | -         | -         | -          |
| Cash rent paid not pertaining to current period                        |      | -         | -         | 8         | 44         |
| Lease obligations                                                      | 1    | (144,222) | (170,022) | (165,599) | (166,407)  |
| Unrealized gain (loss) on financial instruments recorded at fair value | 2    | (8,790)   | 6,260     | (2,610)   | 49,066     |
| Gain (loss) on disposal of assets                                      | 3    | (28,283)  | (57,807)  | 2,910     | 1,626      |
| Depreciation and amortization - joint ventures and associates          |      | 25        | 517       | 739       | 798        |
| Taxes and interest of joint ventures and associates                    |      | 45        | 49        | 22        | 16         |
| Joint ventures and associates                                          | 4    | 70        | 566       | 761       | 814        |
| Foreign exchange gain (loss)                                           | 5    | (43)      | (1,371)   | 834       | (131)      |
| Impairment of long-lived assets, goodwill and investments              | 6    | 3,717     | (19,880)  | -         | -          |
| CDCP equity gain (loss)                                                | 7    | (146)     | (489)     | -         | -          |
| Management adjustments                                                 |      | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments                                                  |      | (87,784)  | (56,173)  | 3,498     | 4,761      |
| Pro forma adjustments                                                  |      | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted                                             |      | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted                                      |      | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

## Management adjustments (continued)

2. **Unrealized gain (loss) on financial instruments recorded at fair value:** This adjustment eliminates the impact of the unrealized change in value of financial instruments recorded at fair value. The Company's financial instruments primarily consist of convertible debentures, notes payable, and a credit facility. Changes in the fair value of these instruments are not part of the Company's normal operations and do not have a cash effect, hence removed from EBITDA. The Q1-24 amount of \$51.9 million is primarily due to the loss in refinancing of \$53.9 million.

*We consider this adjustment to be reasonable.*

3. **Gain (loss) on disposal of assets:** This adjustment eliminates gains (losses) recognized on assets or components of assets that were sold or otherwise disposed. The gain of \$57.8 million in FY22 primarily relates to the reorganization of Scene LP as specific non-financial milestones were completed during Q3-22. The gain of \$28.3 million in FY21 primarily relates to the sale of the Company's head office buildings for gross proceeds of \$57.0M in Q1-21.

*We consider this adjustment to be reasonable, under the assumption that these gain/losses stem from one time non-recurring events that are not expected to be part of normal business operations.*

## 4. Joint ventures and associates

- I. **Depreciation and amortization:** This adjustment eliminates the associated depreciation and amortization of the Company's joint ventures and associates.
- II. **Taxes and interest:** This adjustment eliminates the associated taxes and interest of the Company's joint ventures and associates.

*We consider this adjustment to be reasonable as definitional EBITDA removes depreciation, amortization, taxes, and interest.*

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# Quality of earnings (4/8) – Management adjustments

| Quality of earnings                                                    |      |           |           |           |            |
|------------------------------------------------------------------------|------|-----------|-----------|-----------|------------|
| \$'000                                                                 | Ref. | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                                                      |      | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted                                            |      | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                                                       |      | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments                                           |      | -         | -         | (34,896)  | (23,986)   |
| Reclassified EBITDA                                                    |      | 93,402    | 324,415   | 321,067   | 265,603    |
| <b>Management adjustments</b>                                          |      |           |           |           |            |
| Cash rent paid/payable related to lease obligations                    |      | (144,222) | (170,022) | (165,607) | (166,451)  |
| Negotiated lease-related cash savings for the period                   |      | -         | -         | -         | -          |
| Cash rent paid not pertaining to current period                        |      | -         | -         | 8         | 44         |
| Lease obligations                                                      | 1    | (144,222) | (170,022) | (165,599) | (166,407)  |
| Unrealized gain (loss) on financial instruments recorded at fair value | 2    | (8,790)   | 6,260     | (2,610)   | 49,066     |
| Gain (loss) on disposal of assets                                      | 3    | (28,283)  | (57,807)  | 2,910     | 1,626      |
| Depreciation and amortization - joint ventures and associates          |      | 25        | 517       | 739       | 798        |
| Taxes and interest of joint ventures and associates                    |      | 45        | 49        | 22        | 16         |
| Joint ventures and associates                                          | 4    | 70        | 566       | 761       | 814        |
| Foreign exchange gain (loss)                                           | 5    | (43)      | (1,371)   | 834       | (131)      |
| Impairment of long-lived assets, goodwill and investments              | 6    | 3,717     | (19,880)  | -         | -          |
| CDCP equity gain (loss)                                                | 7    | (146)     | (489)     | -         | -          |
| Management adjustments                                                 |      | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments                                                  |      | (87,784)  | (56,173)  | 3,498     | 4,761      |
| Pro forma adjustments                                                  |      | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted                                             |      | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted                                      |      | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

## Management adjustments

- 5. Foreign exchange gain (loss):** This adjustment eliminates the impact of foreign exchange gains and losses resulting from foreign exchange transactions. The movement in foreign exchange was due to the change in the CAD/USD foreign exchange month end rates. Foreign exchange gains and losses result from the settlement of foreign currency transactions and from the translation at fiscal year-end exchange rates of monetary assets and liabilities denominated in other currencies.

*This adjustment is later altered, refer to commentary in adjusted #9.*

- 6. Impairment of long-lived assets, goodwill, and investments:** The Company generally performs its annual test for impairment of goodwill and indefinite-lived intangible assets in the fourth quarter. This adjustment reverses the effect of the change in value of these assets on EBITDA.

*We consider this adjustment to be reasonable.*

- 7. CDCP equity gain (loss):** The Company's joint ventures and associates included its 78.2% interest in the Canadian Digital Cinema Partnership ("CDCP"). CDCP was a joint venture formed by the Company and Empire Theatres Limited to finance the implementation of digital projectors. The Company leased its digital projectors from CDCP. On December 16, 2022 CDCP distributed its assets to its partners including the Company. This adjustment removes the historical gains (losses) associated with the CDCP partnership.

*We consider this adjustment to be reasonable as it is not part of the Company's normal recurring operations and was only active up until Q4-22.*

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Quality of earnings (5/8) – Diligence adjustments

| Quality of earnings                       |      |                  |                  |                  |                  |
|-------------------------------------------|------|------------------|------------------|------------------|------------------|
| \$'000                                    | Ref. | FY21             | FY22             | FY23             | TTM Mar-24       |
| <b>Revenue, reported</b>                  |      | <b>656,669</b>   | <b>1,268,562</b> | <b>1,542,739</b> | <b>1,496,541</b> |
| <b>Revenue, pro forma adjusted</b>        |      | <b>566,763</b>   | <b>1,128,457</b> | <b>1,419,443</b> | <b>1,422,712</b> |
| <b>EBITDA, reported</b>                   |      | <b>93,402</b>    | <b>324,415</b>   | <b>355,963</b>   | <b>289,589</b>   |
| Reclassification adjustments              |      | -                | -                | (34,896)         | (23,986)         |
| Management adjustments                    |      | (177,697)        | (242,743)        | (163,704)        | (115,032)        |
| <b>EBITDA, management adjusted</b>        |      | <b>(84,295)</b>  | <b>81,672</b>    | <b>157,363</b>   | <b>150,571</b>   |
| <i>EBITDA margin, management adjusted</i> |      | <i>(15.2%)</i>   | <i>7.4%</i>      | <i>11.3%</i>     | <i>10.8%</i>     |
| <b>Diligence adjustments</b>              |      |                  |                  |                  |                  |
| Litigation costs                          | 8    | 11,400           | 3,600            | 3,500            | 4,500            |
| Realized foreign exchange gain (loss)     | 9    | (12)             | 2,531            | (2)              | 261              |
| Removal of P1AG revenue                   |      | (100,282)        | (165,681)        | -                | -                |
| Other costs                               |      | 87,579           | 134,155          | -                | -                |
| Realized foreign exchange gain (loss)     |      | 22               | 66               | -                | -                |
| Removal of P1AG impact                    | 10   | (12,681)         | (31,460)         | -                | -                |
| Wage subsidies                            |      | (56,059)         | (21,583)         | -                | -                |
| Rent subsidies                            |      | (13,643)         | (3,461)          | -                | -                |
| Utilities subsidies                       |      | (4,826)          | (2,069)          | -                | -                |
| Realty tax subsidies                      |      | (11,963)         | (3,731)          | -                | -                |
| Covid subsidies                           | 11   | (86,491)         | (30,844)         | -                | -                |
| Diligence adjustments                     |      | (87,784)         | (56,173)         | 3,498            | 4,761            |
| Pro forma adjustments                     |      | 2,226            | 7,929            | 8,757            | 8,195            |
| <b>EBITDA, pro forma adjusted</b>         |      | <b>(169,853)</b> | <b>33,428</b>    | <b>169,618</b>   | <b>163,527</b>   |
| <i>EBITDA margin, pro forma adjusted</i>  |      | <i>(30.5%)</i>   | <i>3.0%</i>      | <i>12.2%</i>     | <i>11.7%</i>     |

## Diligence adjustments

8. **Litigation costs:** The Company commenced an action against Cineworld Group plc. ("Cineworld") as a result of Cineworld's repudiation of the arrangement agreement pursuant to which Cineworld agreed to acquire all of the outstanding shares of the Company (refer to the appendix for more information on the litigation arising out of the Cineworld transaction). This adjustment removes the effect of management-stated litigation costs associated with this transaction on EBITDA as it is not part of the Company's normal, recurring operations.
9. **Realized foreign exchange reversal:** Management adjustments reversed the entirety of the effect of foreign exchange on EBITDA. This adjustment adds back realized gain (loss) which is calculated as unrealized foreign exchange gain (loss) deducted from the total foreign exchange impact. The Company's realized foreign exchange gains and losses are a result of the settlement of foreign currency transactions with customers and suppliers. This is part of the Company's normal, recurring operations and has a cash impact, therefore it is added back.
10. **Removal of Player One Amusement Group ("P1AG") impact:** The Company entered into a definitive share purchase agreement to sell 100% of the issued and outstanding shares of P1AG. The transaction closed on February 1, 2024. Refer to the appendix for more information on the sale of P1AG. This adjustment removes the historical impact of P1AG on the Company's EBITDA.
  - I. **P1AG foreign exchange:** The adjustment for P1AG's historical foreign exchange gain (loss) is calculated to include only realized foreign exchange gains/losses. This calculation was made based on the realized gain (loss) as a percentage of total foreign exchange gain (loss) for the Company as a whole.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Quality of earnings (6/8) – Diligence adjustments

| Quality of earnings                       |      |                  |                  |                  |                  |
|-------------------------------------------|------|------------------|------------------|------------------|------------------|
| \$'000                                    | Ref. | FY21             | FY22             | FY23             | TTM Mar-24       |
| <b>Revenue, reported</b>                  |      | <b>656,669</b>   | <b>1,268,562</b> | <b>1,542,739</b> | <b>1,496,541</b> |
| <b>Revenue, pro forma adjusted</b>        |      | <b>566,763</b>   | <b>1,128,457</b> | <b>1,419,443</b> | <b>1,422,712</b> |
| <b>EBITDA, reported</b>                   |      | <b>93,402</b>    | <b>324,415</b>   | <b>355,963</b>   | <b>289,589</b>   |
| Reclassification adjustments              |      | -                | -                | (34,896)         | (23,986)         |
| Management adjustments                    |      | (177,697)        | (242,743)        | (163,704)        | (115,032)        |
| <b>EBITDA, management adjusted</b>        |      | <b>(84,295)</b>  | <b>81,672</b>    | <b>157,363</b>   | <b>150,571</b>   |
| <i>EBITDA margin, management adjusted</i> |      | <i>(15.2%)</i>   | <i>7.4%</i>      | <i>11.3%</i>     | <i>10.8%</i>     |
| <b>Diligence adjustments</b>              |      |                  |                  |                  |                  |
| Litigation costs                          | 8    | 11,400           | 3,600            | 3,500            | 4,500            |
| Realized foreign exchange gain (loss)     | 9    | (12)             | 2,531            | (2)              | 261              |
| Removal of P1AG revenue                   |      | (100,282)        | (165,681)        | -                | -                |
| Other costs                               |      | 87,579           | 134,155          | -                | -                |
| Realized foreign exchange gain (loss)     |      | 22               | 66               | -                | -                |
| Removal of P1AG impact                    | 10   | (12,681)         | (31,460)         | -                | -                |
| Wage subsidies                            |      | (56,059)         | (21,583)         | -                | -                |
| Rent subsidies                            |      | (13,643)         | (3,461)          | -                | -                |
| Utilities subsidies                       |      | (4,826)          | (2,069)          | -                | -                |
| Realty tax subsidies                      |      | (11,963)         | (3,731)          | -                | -                |
| Covid subsidies                           | 11   | (86,491)         | (30,844)         | -                | -                |
| Diligence adjustments                     |      | (87,784)         | (56,173)         | 3,498            | 4,761            |
| Pro forma adjustments                     |      | 2,226            | 7,929            | 8,757            | 8,195            |
| <b>EBITDA, pro forma adjusted</b>         |      | <b>(169,853)</b> | <b>33,428</b>    | <b>169,618</b>   | <b>163,527</b>   |
| <i>EBITDA margin, pro forma adjusted</i>  |      | <i>(30.5%)</i>   | <i>3.0%</i>      | <i>12.2%</i>     | <i>11.7%</i>     |

## Diligence adjustments (continued)

**11. COVID subsidies:** During the COVID-19 pandemic, the Company qualified for a variety of government subsidies including the Canada Emergency Wage Subsidy ("CEWS"), Canada Emergency Rent Subsidy ("CERS") and Tourism and Hospitality Recovery Program ("THRP"). This adjustment eliminates the effect of these government subsidies.

- I. **Payroll subsidies ("CEWS" and "THRP"):** In response to the economic impact of COVID-19, the Government of Canada announced the CEWS program in Apr-20. CEWS provides a wage subsidy to eligible employers based on certain criteria, such as demonstrated revenue declines as a result of COVID-19. This subsidy was retroactive from Q1-21 to Q3-22 within the scope period. The Company records this grant as an offset to the theatre payroll expense.
- II. **Rent subsidies ("CERS" and "THRP"):** The Government of Canada also announced the CERS program in Nov-20. CERS provides a rent and property tax subsidy for companies that demonstrate a decline in revenue. This subsidy was retroactive from Q1-21 to Q2-22 within the scope period. The Company records this grant as an offset to the relevant expense.
- III. **Utilities subsidies ("CERS"):** The Canadian Government's CERS program included support for company utilities fees. This subsidy was retroactive from Q1-21 to Q1-22 within the scope period. The Company records this grant as an offset to the relevant expense.
- IV. **Realty tax subsidies:** The Canadian Government's realty tax subsidy program included support for company realty tax. This subsidy was retroactive from Q1-21 to Q1-22 within the scope period. The Company records this grant as an offset to the relevant expense.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Quality of earnings (7/8) – Pro-forma adjustments

| Quality of earnings                    |      |           |           |           |            |
|----------------------------------------|------|-----------|-----------|-----------|------------|
| \$'000                                 | Ref. | FY21      | FY22      | FY23      | TTM Mar-24 |
| Revenue, reported                      |      | 656,669   | 1,268,562 | 1,542,739 | 1,496,541  |
| Revenue, pro forma adjusted            |      | 566,763   | 1,128,457 | 1,419,443 | 1,422,712  |
| EBITDA, reported                       |      | 93,402    | 324,415   | 355,963   | 289,589    |
| Reclassification adjustments           |      | -         | -         | (34,896)  | (23,986)   |
| Management adjustments                 |      | (177,697) | (242,743) | (163,704) | (115,032)  |
| Diligence adjustments                  |      | (87,784)  | (56,173)  | 3,498     | 4,761      |
| EBITDA, diligence adjusted             |      | (172,079) | 25,499    | 160,861   | 155,332    |
| EBITDA margin, diligence adjusted      |      | (30.9%)   | 2.3%      | 11.6%     | 11.2%      |
| Pro forma adjustments                  |      |           |           |           |            |
| LBE revenue                            |      | 10,376    | 25,576    | 30,549    | 30,414     |
| Operating costs                        |      | (5,419)   | (12,622)  | (16,131)  | (16,593)   |
| Cost of food service                   |      | (920)     | (2,560)   | (3,129)   | (3,090)    |
| Cash rent related to lease obligations |      | (1,812)   | (2,465)   | (2,531)   | (2,535)    |
| New LBE locations                      | 12   | 2,226     | 7,929     | 8,757     | 8,195      |
| Pro forma adjustments                  |      | 2,226     | 7,929     | 8,757     | 8,195      |
| EBITDA, pro forma adjusted             |      | (169,853) | 33,428    | 169,618   | 163,527    |
| EBITDA margin, pro forma adjusted      |      | (30.5%)   | 3.0%      | 12.2%     | 11.7%      |

## Pro-forma adjustments

**12. New LBE locations:** Management states that it plans to open 3 new location based entertainment venues in Vancouver, British Columbia, Montreal, Quebec, and Toronto, Ontario in Q4-24. This adjustment adds the associated revenues and operating expenses to prior periods.

### I. LBE revenues and expenses calculation:

- LBE revenues and expenses associated with the 3 new locations** were calculated as a percentage of revenues and expenses of historical periods. The Company had 13 LBE locations across the scope period and revenues and expenses were applied evenly to the 13 locations to calculate the associated revenues and expenses for each location.
- Refer to the appendix for more detailed information on the assumptions employed and calculations made for this adjustment.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Quality of earnings (8/8) – Other considerations

## Other considerations

The following are other considerations which have not been included in the quality of earnings analysis and reflect qualitative points that may be considered in the analysis.

- A. Mobile food and beverage ordering:** The Company completed the national rollout of mobile food and beverage ordering, across the entire theatre circuit during Mar-24, allowing guests to pre-order prior to the beginning of the movie. Pending more detailed information on revenues and expenses associated with mobile food and beverage ordering, an analysis would be performed.
- B. Cadillac Fairview contract:** As part of the Company's digital place-based media segment, a contract was signed with Cadillac Fairview to operate a network of 200 digital displays in 18 Cadillac Fairview shopping centers, and to sell digital and static media, and sponsorships, for its extensive network of shopping destinations across Canada. Operations have begun in Q1-24 but management has not specified any revenues and expenses associated with this contract.
- C. Lost contracts within digital place-based media:** Management did not specify lost contracts. Pending more detailed information on any lost contracts within the scope period, an analysis would be performed.
- D. Elimination of public company fees:** In the case that the Company would no longer be public post-acquisition, an adjustment could be made to eliminate various costs associated with mandatory and optional duties of a publicly listed company. These may include costs such as AGM costs, transfer agent fees, TSX fees etc. The existence and magnitude of these expenses are uncertain, and thus, no adjustment has been made. These fees may also include Accounting/audit fees, along with costs associated with investor relations.
- E. Stock-based compensation, net of cash equivalent cost:** In the case that the Company would no longer offer stock-based compensation, an adjustment could be made to 1) eliminate reported share-based compensation expenses related to PSUs and RSUs due to its non-cash nature; and 2) deduct the cash equivalent costs of executive compensation from EBITDA in the respective periods in order to arrive at a management compensation run-rate.
- F. Constant currency analysis:** Adjustment #9 adds back the realized portion of gains or losses on foreign exchange. Pending more detailed information on income streams segmented by country, a constant currency analysis would be performed in order to adjust the realized portion.
- G. Key management salary:** Current executives include Ellis Jacob (CEO), Gord Nelson (CFO), Dan McGrath (COO), Fabrizio Stanghieri (EVP & MD, Media), and Kevin Watts (EVP, Exhibition & LBE). Total compensation for the FY23 period was \$3.6 million, \$1.5 million, \$1.7 million, \$719,000, and \$696,000 for each executive respectively. The Company's executive base salaries are lower than comparable companies across the board which could signify a potential increase to remain competitive. Refer to the appendix for an executive compensation analysis of comparable companies.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# 05

## Balance sheet

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# Balance sheet overview (1/3)

| Stratified balance sheet                     |                  |                  |                  |                  |                  |                  |                  |
|----------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| \$'000                                       | As at            |                  |                  |                  | As at 31-Mar-24  |                  |                  |
|                                              | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24        | NWC              | Net debt         | Other            |
| <b>Assets</b>                                |                  |                  |                  |                  |                  |                  |                  |
| Cash and cash equivalents                    | 26,938           | 34,674           | 36,666           | 92,292           | -                | 92,292           | -                |
| Trade and other receivables                  | 80,679           | 107,088          | 97,689           | 59,627           | 59,627           | -                | -                |
| Income taxes receivable                      | 1,984            | 2,033            | 2,766            | 3,503            | -                | 3,503            | -                |
| Inventories                                  | 24,899           | 36,916           | 17,624           | 16,315           | 16,315           | -                | -                |
| Prepaid expenses and other current assets    | 13,365           | 15,659           | 11,481           | 13,832           | 13,832           | -                | -                |
| Fair value of interest rate sw ap agreements | -                | 8,993            | 3,217            | -                | -                | -                | -                |
| Assets held for sale                         | -                | -                | 93,322           | -                | -                | -                | -                |
| Current assets                               | 147,865          | 205,363          | 262,765          | 185,569          | 89,774           | 95,795           | -                |
| Property, equipment and leaseholds           | 464,439          | 449,495          | 394,382          | 388,249          | -                | -                | 388,249          |
| Right-of-use assets                          | 768,675          | 772,978          | 754,793          | 783,113          | -                | 783,113          | -                |
| Deferred income taxes                        | -                | -                | 146,784          | 146,393          | -                | 146,393          | -                |
| Fair value of interest rate sw ap agreements | -                | 2,426            | 1,109            | -                | -                | -                | -                |
| Interests in joint ventures                  | 7,423            | 650              | 4,896            | 5,175            | -                | -                | 5,175            |
| Intangible assets                            | 81,651           | 80,428           | 80,873           | 80,731           | -                | -                | 80,731           |
| Goodwill                                     | 635,545          | 636,134          | 620,300          | 620,300          | -                | -                | 620,300          |
| Derivative financial instrument              | 9,240            | 2,980            | 5,590            | 12,060           | -                | 12,060           | -                |
| Non-current assets                           | 1,966,973        | 1,945,091        | 2,008,727        | 2,036,021        | -                | 941,566          | 1,094,455        |
| <b>Total assets</b>                          | <b>2,114,838</b> | <b>2,150,454</b> | <b>2,271,492</b> | <b>2,221,590</b> | <b>89,774</b>    | <b>1,037,361</b> | <b>1,094,455</b> |
| <b>Liabilities and shareholder's equity</b>  |                  |                  |                  |                  |                  |                  |                  |
| Accounts payable and accrued expenses        | (157,950)        | (195,296)        | (172,482)        | (177,150)        | (177,150)        | -                | -                |
| Share-based compensation                     | -                | -                | -                | -                | -                | -                | -                |
| Income taxes payable                         | (1,945)          | (3,736)          | (173)            | (245)            | -                | (245)            | -                |
| Deferred revenue                             | (293,206)        | (220,527)        | (197,329)        | (180,943)        | (180,943)        | -                | -                |
| Lease obligations (current portion)          | (101,058)        | (96,093)         | (85,030)         | (88,711)         | -                | (88,711)         | -                |
| Fair value of interest rate sw ap agreements | (8,063)          | -                | -                | -                | -                | -                | -                |
| Liabilities related to assets held for sale  | -                | -                | (27,241)         | -                | -                | -                | -                |
| Current liabilities                          | (562,222)        | (515,652)        | (482,255)        | (447,049)        | (358,093)        | (88,956)         | -                |
| Share-based compensation                     | (4,940)          | (3,752)          | (4,470)          | (5,394)          | -                | (5,394)          | -                |
| Long-term debt                               | (739,211)        | (824,888)        | (817,439)        | (731,452)        | -                | (731,452)        | -                |
| Fair value of interest rate sw ap agreements | (6,160)          | -                | -                | -                | -                | -                | -                |
| Lease obligations                            | (1,004,465)      | (1,004,546)      | (993,404)        | (1,018,576)      | -                | (1,018,576)      | -                |
| Post-employment benefit obligations          | (9,973)          | (6,970)          | (7,114)          | (6,847)          | -                | (6,847)          | -                |
| Other liabilities                            | (7,590)          | (6,460)          | (6,245)          | (6,250)          | -                | (6,250)          | -                |
| Deferred income taxes                        | -                | -                | -                | -                | -                | -                | -                |
| Non-current liabilities                      | (1,772,339)      | (1,846,616)      | (1,828,672)      | (1,768,519)      | -                | (1,768,519)      | -                |
| Liabilities                                  | (2,334,561)      | (2,362,268)      | (2,310,927)      | (2,215,568)      | (358,093)        | (1,857,475)      | -                |
| <b>Net assets</b>                            | <b>(219,723)</b> | <b>(211,814)</b> | <b>(39,435)</b>  | <b>6,022</b>     | <b>(268,319)</b> | <b>(820,114)</b> | <b>1,094,455</b> |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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## Overview

Components of reported net working capital and others are discussed below. Refer to the "Net debt" section for a discussion on net debt items.

### Net working capital

#### Accounts receivable

- Accounts receivable includes trade and other receivables. Trade receivables are amounts billed to customers for the sales of goods and services, and represent the maximum exposure to credit risk of financial assets, net of expected credit loss. Normal credit terms for amounts due from customers are within 30 to 45 days. Other receivables include amounts due from suppliers and landlords and other miscellaneous amounts.

#### Inventories

Inventories consist of food service inventories, gaming inventories, and other inventories including work in progress.

- Food service inventories include merchandise that is used as redemption prizes which represented 66.98% of total inventory as of Dec-23.
- Gaming inventories include gaming equipment purchased for re-sale or transferred from property, equipment and leaseholds and merchandise that are used as redemption prizes for certain games which was not present in inventory as of Dec-23 due to the sale of P1AG.
- Other inventories include consumable supplies and work-in-progress being assembled for sale or installation by CDM which represented 33.02% of total inventory as of Dec-23.

\*Note: a breakdown of inventories is only presented at year end within the Company's quarterly statements, therefore the breakdown within our discussion is presented as of Dec-23.

# Balance sheet overview (2/3)

| Stratified balance sheet                     |                  |                  |                  |                  |                  |                  |                  |
|----------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| \$'000                                       | As at            |                  |                  |                  | As at 31-Mar-24  |                  |                  |
|                                              | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24        | NWC              | Net debt         | Other            |
| <b>Assets</b>                                |                  |                  |                  |                  |                  |                  |                  |
| Cash and cash equivalents                    | 26,938           | 34,674           | 36,666           | 92,292           | -                | 92,292           | -                |
| Trade and other receivables                  | 80,679           | 107,088          | 97,689           | 59,627           | 59,627           | -                | -                |
| Income taxes receivable                      | 1,984            | 2,033            | 2,766            | 3,503            | -                | 3,503            | -                |
| Inventories                                  | 24,899           | 36,916           | 17,624           | 16,315           | 16,315           | -                | -                |
| Prepaid expenses and other current assets    | 13,365           | 15,659           | 11,481           | 13,832           | 13,832           | -                | -                |
| Fair value of interest rate sw ap agreements | -                | 8,993            | 3,217            | -                | -                | -                | -                |
| Assets held for sale                         | -                | -                | 93,322           | -                | -                | -                | -                |
| Current assets                               | 147,865          | 205,363          | 262,765          | 185,569          | 89,774           | 95,795           | -                |
| Property, equipment and leaseholds           | 464,439          | 449,495          | 394,382          | 388,249          | -                | -                | 388,249          |
| Right-of-use assets                          | 768,675          | 772,978          | 754,793          | 783,113          | -                | 783,113          | -                |
| Deferred income taxes                        | -                | -                | 146,784          | 146,393          | -                | 146,393          | -                |
| Fair value of interest rate sw ap agreements | -                | 2,426            | 1,109            | -                | -                | -                | -                |
| Interests in joint ventures                  | 7,423            | 650              | 4,896            | 5,175            | -                | -                | 5,175            |
| Intangible assets                            | 81,651           | 80,428           | 80,873           | 80,731           | -                | -                | 80,731           |
| Goodwill                                     | 635,545          | 636,134          | 620,300          | 620,300          | -                | -                | 620,300          |
| Derivative financial instrument              | 9,240            | 2,980            | 5,590            | 12,060           | -                | 12,060           | -                |
| Non-current assets                           | 1,966,973        | 1,945,091        | 2,008,727        | 2,036,021        | -                | 941,566          | 1,094,455        |
| <b>Total assets</b>                          | <b>2,114,838</b> | <b>2,150,454</b> | <b>2,271,492</b> | <b>2,221,590</b> | <b>89,774</b>    | <b>1,037,361</b> | <b>1,094,455</b> |
| <b>Liabilities and shareholder's equity</b>  |                  |                  |                  |                  |                  |                  |                  |
| Accounts payable and accrued expenses        | (157,950)        | (195,296)        | (172,482)        | (177,150)        | (177,150)        | -                | -                |
| Share-based compensation                     | -                | -                | -                | -                | -                | -                | -                |
| Income taxes payable                         | (1,945)          | (3,736)          | (173)            | (245)            | -                | (245)            | -                |
| Deferred revenue                             | (293,206)        | (220,527)        | (197,329)        | (180,943)        | (180,943)        | -                | -                |
| Lease obligations (current portion)          | (101,058)        | (96,093)         | (85,030)         | (88,711)         | -                | (88,711)         | -                |
| Fair value of interest rate sw ap agreements | (8,063)          | -                | -                | -                | -                | -                | -                |
| Liabilities related to assets held for sale  | -                | -                | (27,241)         | -                | -                | -                | -                |
| Current liabilities                          | (562,222)        | (515,652)        | (482,255)        | (447,049)        | (358,093)        | (88,956)         | -                |
| Share-based compensation                     | (4,940)          | (3,752)          | (4,470)          | (5,394)          | -                | (5,394)          | -                |
| Long-term debt                               | (739,211)        | (824,888)        | (817,439)        | (731,452)        | -                | (731,452)        | -                |
| Fair value of interest rate sw ap agreements | (6,160)          | -                | -                | -                | -                | -                | -                |
| Lease obligations                            | (1,004,465)      | (1,004,546)      | (993,404)        | (1,018,576)      | -                | (1,018,576)      | -                |
| Post-employment benefit obligations          | (9,973)          | (6,970)          | (7,114)          | (6,847)          | -                | (6,847)          | -                |
| Other liabilities                            | (7,590)          | (6,460)          | (6,245)          | (6,250)          | -                | (6,250)          | -                |
| Deferred income taxes                        | -                | -                | -                | -                | -                | -                | -                |
| Non-current liabilities                      | (1,772,339)      | (1,846,616)      | (1,828,672)      | (1,768,519)      | -                | (1,768,519)      | -                |
| Liabilities                                  | (2,334,561)      | (2,362,268)      | (2,310,927)      | (2,215,568)      | (358,093)        | (1,857,475)      | -                |
| <b>Net assets</b>                            | <b>(219,723)</b> | <b>(211,814)</b> | <b>(39,435)</b>  | <b>6,022</b>     | <b>(268,319)</b> | <b>(820,114)</b> | <b>1,094,455</b> |

## Overview (continued)

### Net working capital (continued)

- **Prepaid expenses and other current assets:** Primarily consists of prepayments for real estate taxes, insurance and technology services.
- **Accounts payable and accrued expenses:**
  - As of Dec-23, accounts payable comprises of trade payables valued at (\$80.9 million), film payables and accruals (\$25.4 million), accrued salaries and benefits (\$27.9 million), sales taxes payable (\$12.2 million), accrued occupancy costs (\$2.4 million) and other payable and accrued liabilities (\$23.6 million).
  - The detailed breakdown for the account balance as at Mar-24 is unavailable, however, the increase is mainly attributed to the timing of trade payables and interest caused partly by the statutory holiday on March 31, 2024.
- **Deferred revenue:**
  - This balance consists of \$145.0 million in gift cards, \$14.7 million in SCENE loyalty program points, and \$21.2 million in the advances, deposits and other account as of Mar-24.
  - Management estimates the value of gift cards that are not expected to be redeemed by customers, based on the terms of the gift cards and historical redemption patterns, including industry data. The estimates are reviewed annually, or when evidence indicates the existing estimate is not valid.
  - The SCENE loyalty program deferred revenue balance relates to SCENE point obligations issued up to December 12, 2021. New Scene+ points issued are recognized as advertising and promotion and are not reflected in deferred revenue on the balance sheet.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Balance sheet overview (3/3)

| Stratified balance sheet                     |                  |                  |                  |                  |                  |                  |                  |
|----------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| \$'000                                       | As at            |                  |                  |                  | As at 31-Mar-24  |                  |                  |
|                                              | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24        | NWC              | Net debt         | Other            |
| <b>Assets</b>                                |                  |                  |                  |                  |                  |                  |                  |
| Cash and cash equivalents                    | 26,938           | 34,674           | 36,666           | 92,292           | -                | 92,292           | -                |
| Trade and other receivables                  | 80,679           | 107,088          | 97,689           | 59,627           | 59,627           | -                | -                |
| Income taxes receivable                      | 1,984            | 2,033            | 2,766            | 3,503            | -                | 3,503            | -                |
| Inventories                                  | 24,899           | 36,916           | 17,624           | 16,315           | 16,315           | -                | -                |
| Prepaid expenses and other current assets    | 13,365           | 15,659           | 11,481           | 13,832           | 13,832           | -                | -                |
| Fair value of interest rate sw ap agreements | -                | 8,993            | 3,217            | -                | -                | -                | -                |
| Assets held for sale                         | -                | -                | 93,322           | -                | -                | -                | -                |
| Current assets                               | 147,865          | 205,363          | 262,765          | 185,569          | 89,774           | 95,795           | -                |
| Property, equipment and leaseholds           | 464,439          | 449,495          | 394,382          | 388,249          | -                | -                | 388,249          |
| Right-of-use assets                          | 768,675          | 772,978          | 754,793          | 783,113          | -                | 783,113          | -                |
| Deferred income taxes                        | -                | -                | 146,784          | 146,393          | -                | 146,393          | -                |
| Fair value of interest rate sw ap agreements | -                | 2,426            | 1,109            | -                | -                | -                | -                |
| Interests in joint ventures                  | 7,423            | 650              | 4,896            | 5,175            | -                | -                | 5,175            |
| Intangible assets                            | 81,651           | 80,428           | 80,873           | 80,731           | -                | -                | 80,731           |
| Goodwill                                     | 635,545          | 636,134          | 620,300          | 620,300          | -                | -                | 620,300          |
| Derivative financial instrument              | 9,240            | 2,980            | 5,590            | 12,060           | -                | 12,060           | -                |
| Non-current assets                           | 1,966,973        | 1,945,091        | 2,008,727        | 2,036,021        | -                | 941,566          | 1,094,455        |
| <b>Total assets</b>                          | <b>2,114,838</b> | <b>2,150,454</b> | <b>2,271,492</b> | <b>2,221,590</b> | <b>89,774</b>    | <b>1,037,361</b> | <b>1,094,455</b> |
| <b>Liabilities and shareholder's equity</b>  |                  |                  |                  |                  |                  |                  |                  |
| Accounts payable and accrued expenses        | (157,950)        | (195,296)        | (172,482)        | (177,150)        | (177,150)        | -                | -                |
| Share-based compensation                     | -                | -                | -                | -                | -                | -                | -                |
| Income taxes payable                         | (1,945)          | (3,736)          | (173)            | (245)            | -                | (245)            | -                |
| Deferred revenue                             | (293,206)        | (220,527)        | (197,329)        | (180,943)        | (180,943)        | -                | -                |
| Lease obligations (current portion)          | (101,058)        | (96,093)         | (85,030)         | (88,711)         | -                | (88,711)         | -                |
| Fair value of interest rate sw ap agreements | (8,063)          | -                | -                | -                | -                | -                | -                |
| Liabilities related to assets held for sale  | -                | -                | (27,241)         | -                | -                | -                | -                |
| Current liabilities                          | (562,222)        | (515,652)        | (482,255)        | (447,049)        | (358,093)        | (88,956)         | -                |
| Share-based compensation                     | (4,940)          | (3,752)          | (4,470)          | (5,394)          | -                | (5,394)          | -                |
| Long-term debt                               | (739,211)        | (824,888)        | (817,439)        | (731,452)        | -                | (731,452)        | -                |
| Fair value of interest rate sw ap agreements | (6,160)          | -                | -                | -                | -                | -                | -                |
| Lease obligations                            | (1,004,465)      | (1,004,546)      | (993,404)        | (1,018,576)      | -                | (1,018,576)      | -                |
| Post-employment benefit obligations          | (9,973)          | (6,970)          | (7,114)          | (6,847)          | -                | (6,847)          | -                |
| Other liabilities                            | (7,590)          | (6,460)          | (6,245)          | (6,250)          | -                | (6,250)          | -                |
| Deferred income taxes                        | -                | -                | -                | -                | -                | -                | -                |
| Non-current liabilities                      | (1,772,339)      | (1,846,616)      | (1,828,672)      | (1,768,519)      | -                | (1,768,519)      | -                |
| Liabilities                                  | (2,334,561)      | (2,362,268)      | (2,310,927)      | (2,215,568)      | (358,093)        | (1,857,475)      | -                |
| <b>Net assets</b>                            | <b>(219,723)</b> | <b>(211,814)</b> | <b>(39,435)</b>  | <b>6,022</b>     | <b>(268,319)</b> | <b>(820,114)</b> | <b>1,094,455</b> |

## Overview (continued)

### Other

#### Property, plant, and equipment

- Property, plant, and equipment consists of \$9.0 million of land, \$253.0 million of building and leasehold improvements, \$119.6 million of equipment, and \$12.7 million of construction-in-progress as of Dec-23. The detailed breakdown for the account balance as of Mar-24 is unavailable.
- The decrease in property, equipment and leaseholds in FY23 is primarily due to a \$25.1 million reclassification to assets held for sale, for P1AG.

- Intangible assets:** Intangible assets include trademarks, trade names, leases, software and customer relationships acquired by the Company. Depreciation and amortization are calculated on a straight-line basis over the useful lives of the assets.

- Interest in joint ventures:** The Company participates in incorporated and un-incorporated joint ventures with other parties, and accounts for its interests using the equity method. Current joint ventures include a 33.3% interest in Scene+ and a 50% interest in one IMAX auditorium in Ontario.

- Goodwill:** For the purpose of impairment testing, goodwill has been allocated to CGUs or groups of CGUs. The \$620.3 million balance as of Dec-23 represents \$413.9 million in Exhibition and \$206.4 million in Media.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Net working capital (1/5) – Adjusted net working capital

The average diligence-adjusted NWC for FY23 is (\$237.1million), marking a \$32.9 million increase from FY22. This increase is primarily due to the exclusion of a one-time reorganization for Scene LP from deferred revenue.

| Net working capital                            |                  |                  |                  |                  |                  |                  |                  |                  |
|------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| \$'000                                         | As at            |                  |                  |                  | Average          |                  |                  |                  |
|                                                | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24        | FY21             | FY22             | FY23             | TTM Mar-24       |
| <b>Net working capital, reported</b>           | <b>(414,357)</b> | <b>(310,289)</b> | <b>(219,490)</b> | <b>(261,480)</b> | <b>(338,413)</b> | <b>(344,350)</b> | <b>(265,515)</b> | <b>(256,667)</b> |
| Definitional adjustments                       | 82,144           | 54,129           | (23,527)         | (6,839)          | 73,062           | 65,137           | 41,876           | 21,401           |
| Diligence adjustments                          | 38,921           | (14,879)         | 944              | 4,503            | (15,081)         | 9,188            | (13,485)         | (7,794)          |
| <b>Net working capital, diligence adjusted</b> | <b>(293,292)</b> | <b>(271,039)</b> | <b>(242,073)</b> | <b>(263,816)</b> | <b>(280,432)</b> | <b>(270,026)</b> | <b>(237,124)</b> | <b>(243,060)</b> |
| TTM adjusted net sales                         | 556,387          | 1,102,881        | 1,388,894        | 1,392,298        | 556,387          | 966,782          | 1,309,119        | 1,357,105        |
| <i>Adjusted WC, as a % of net sales</i>        | <i>(52.7%)</i>   | <i>(24.6%)</i>   | <i>(17.4%)</i>   | <i>(18.9%)</i>   | <i>(50.4%)</i>   | <i>(27.9%)</i>   | <i>(18.1%)</i>   | <i>(17.9%)</i>   |
| Pro forma adjustments                          | (2,450)          | (3,746)          | (4,366)          | (5,636)          | (1,480)          | (3,316)          | (3,777)          | (4,247)          |
| <b>Net working capital, pro forma adjusted</b> | <b>(295,741)</b> | <b>(274,785)</b> | <b>(246,439)</b> | <b>(269,452)</b> | <b>(281,913)</b> | <b>(273,342)</b> | <b>(240,901)</b> | <b>(247,308)</b> |

The working capital schedule summarizes reported working capital (derived from the stratified balance sheet analysis), potential adjustments and pro forma adjustments to be considered for FY23.

Such proposed adjustments are not deemed to be all-inclusive. The validity of these diligence adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

## Overview

### Fiscal year presentation

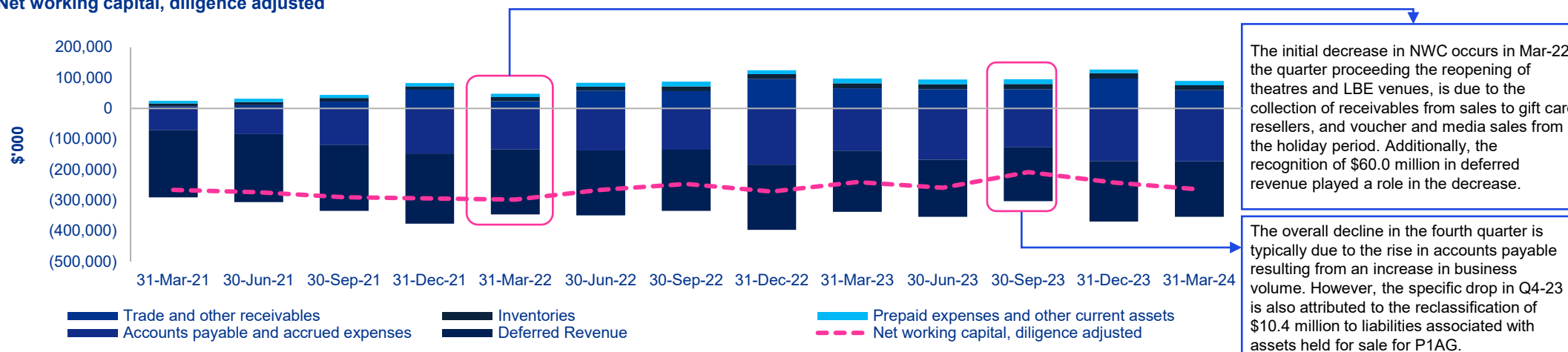
The average net working capital reported for the TTM Mar-24 is (\$256.7 million). After adjustments, average net working capital increases to (\$243.1 million).

### Adjustments

The nature of the adjustments included in the analysis are as follows:

- **Definitional adjustments:** Adjustments that are removed from net working capital for definitional purposes.
- **Diligence adjustments:** Impact of QofE adjustments, identified during diligence as non-recurring in nature.
- **Pro forma adjustments:** Adjustments made to normalize the impact of additional QofE adjustments identified during diligence to reflect previously non-existing items.

## Net working capital, diligence adjusted



Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis

# Net working capital (2/5) – Definitional adjustments

| Net working capital                            |     |                  |                  |                  |                  |
|------------------------------------------------|-----|------------------|------------------|------------------|------------------|
| \$'000                                         | Ref | Average          |                  |                  |                  |
|                                                |     | FY21             | FY22             | FY23             | TTM Mar-24       |
| <b>Net working capital, reported</b>           |     | <b>(338,413)</b> | <b>(344,350)</b> | <b>(265,515)</b> | <b>(256,667)</b> |
| TTM reported net sales                         |     | 556,387          | 966,782          | 1,309,119        | 1,357,105        |
| As % of TTM net sales                          |     | (60.8%)          | (35.6%)          | (20.3%)          | (18.9%)          |
| <b>Definitional adjustments</b>                |     |                  |                  |                  |                  |
| Cash and cash equivalents                      | 1   | (26,029)         | (28,552)         | (28,848)         | (46,996)         |
| Income taxes receivable                        | 2   | (18,388)         | (2,370)          | (2,631)          | (2,978)          |
| Fair value of interest rate swap agreements    | 3   | -                | (3,744)          | (6,114)          | (4,229)          |
| Assets held for sale                           | 4   | -                | -                | (23,331)         | (23,331)         |
| Share-based compensation                       | 5   | 573              | -                | -                | -                |
| Income taxes payable                           | 6   | 1,662            | 2,351            | 2,574            | 1,426            |
| Lease obligations                              | 7   | 106,548          | 96,311           | 93,414           | 90,699           |
| Fair value of interest rate swap agreements    | 8   | 8,695            | 1,141            | -                | -                |
| Liabilities related to assets held for sale    | 9   | -                | -                | 6,810            | 6,810            |
| Definitional adjustments                       |     | 73,062           | 65,137           | 41,876           | 21,401           |
| Diligence adjustments                          |     | (15,081)         | 9,188            | (13,485)         | (7,794)          |
| <b>Net working capital, diligence adjusted</b> |     | <b>(280,432)</b> | <b>(270,026)</b> | <b>(237,124)</b> | <b>(243,060)</b> |
| As % of TTM net sales                          |     | (50.4%)          | (27.9%)          | (18.1%)          | (17.9%)          |
| Pro forma adjustments                          |     | (1,480)          | (3,316)          | (3,777)          | (4,247)          |
| <b>Net working capital, pro forma adjusted</b> |     | <b>(281,913)</b> | <b>(273,342)</b> | <b>(240,901)</b> | <b>(247,308)</b> |
| As % of TTM net sales                          |     | (50.7%)          | (28.3%)          | (18.4%)          | (18.2%)          |

## Definitional adjustments

- Cash and cash equivalents:** The Company's cash accounts have been excluded from working capital and form a part of net debt. This adjustment includes both cash accounts and the cash restricted through debt covenants.
- Income tax receivable:** This account represents an amount that is owed to the company by the government, it is essentially an asset that can be converted into cash when the government repays it, hence items related to federal and local income taxes have been removed from net working capital and reclassified to net debt.
- Fair value of interest rate swap agreements (assets):** Items related to decreasing foreign exchange rate exposure on interest expenses have been removed from net working capital, and reclassified to net debt.
- Assets held for sale:** This account is a reclassification account for storing asset balances related to P1AG, which is no longer part of operations and hence has been removed from net working capital.
- Share based compensation:** This account includes the balance of fair value in excess of the exercise price for cash settled options as a result of the arrangement agreement. This account has been removed from net working capital and included in the net debt.
- Income tax payable:** This account represents an amount that the company owes to the government, which is a liability. Hence, items related to federal and local income taxes have been removed from net working capital and reclassified to net debt.
- Lease obligations:** This account relates to the long-term leases for properties and equipment, which is debt-like in nature and therefore has been removed from working capital.
- Fair value of interest rate swap agreements (liabilities):** Items related to decreasing foreign exchange rate exposure on interest expenses have been removed from net working capital, and reclassified to net debt.
- Liabilities relate to assets held for sale:** This account is a reclassification account for storing liabilities balances related to P1AG, which is no longer part of operations and hence has been removed from net working capital.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Net working capital (3/5) – Diligence adjustments

| Net working capital                               |     |           |           |           |               |
|---------------------------------------------------|-----|-----------|-----------|-----------|---------------|
| \$'000                                            | Ref | Average   |           |           |               |
|                                                   |     | FY21      | FY22      | FY23      | TTM<br>Mar-24 |
| Net working capital, reported                     |     | (338,413) | (344,350) | (265,515) | (256,667)     |
| Definitional adjustments                          |     | 73,062    | 65,137    | 41,876    | 21,401        |
| Net working capital, management adjusted          |     | (265,351) | (279,214) | (223,639) | (235,266)     |
| TTM reported net sales                            |     | 556,387   | 966,782   | 1,309,119 | 1,357,105     |
| As % of TTM net sales                             |     | (47.7%)   | (28.9%)   | (17.1%)   | (17.3%)       |
| Diligence adjustments                             |     |           |           |           |               |
| Accounts payable and accrued expenses             |     | 6,499     | 8,926     | 6,557     | 4,464         |
| Deferred revenue                                  |     | 3,015     | 3,086     | 1,802     | 1,161         |
| Prepaid expenses and other current assets         |     | (2,361)   | (2,996)   | (2,631)   | (1,778)       |
| Trade and other receivables                       |     | (5,547)   | (7,813)   | (5,642)   | (3,705)       |
| Inventories                                       |     | (12,915)  | (18,229)  | (15,582)  | (10,346)      |
| P1AG removal                                      | 10  | (11,308)  | (17,026)  | (15,496)  | (10,206)      |
| Litigation accrual                                | 11  | 2,850     | 900       | 875       | 1,125         |
| Delayed interest payment due to statutory holiday | 12  | -         | -         | -         | 651           |
| One-time Scene + reorganization                   | 13  | 15,000    | 33,025    | 1,136     | 636           |
| Wage subsidies                                    |     | (14,015)  | (5,396)   | -         | -             |
| Rent subsidies                                    |     | (3,411)   | (865)     | -         | -             |
| Utilities subsidies                               |     | (1,207)   | (517)     | -         | -             |
| Realty tax subsidies                              |     | (2,991)   | (933)     | -         | -             |
| Covid subsidies                                   | 14  | (21,623)  | (7,711)   | -         | -             |
| Diligence adjustments                             |     | (15,081)  | 9,188     | (13,485)  | (7,794)       |
| Net working capital, diligence adjusted           |     | (280,432) | (270,026) | (237,124) | (243,060)     |
| As % of TTM net sales                             |     | (50.4%)   | (27.9%)   | (18.1%)   | (17.9%)       |
| Pro forma adjustments                             |     | (1,480)   | (3,316)   | (3,777)   | (4,247)       |
| Net working capital, pro forma adjusted           |     | (281,913) | (273,342) | (240,901) | (247,308)     |
| As % of TTM net sales                             |     | (50.7%)   | (28.3%)   | (18.4%)   | (18.2%)       |

## Diligence adjustments

- Removal of P1AG impact:** As of Dec-23, the company sold P1AG. Reclassification of assets and liabilities relating to P1AG to assets and liabilities held for sale has only been completed by management for Q4-23. This adjustment removes P1AG's impact on NWC items for historical periods. This was calculated as a percentage of current assets and liabilities held for sale relating to P1AG as at 31-Dec-23 to total current assets and liabilities for each quarter. Refer to the appendix for more detailed information on the assumptions employed and calculations made for this adjustment.
- Litigation accrual:** This adjustment removes the AP impact of the litigation costs stemming from the Cineworld transaction from QofE adjustment #8 as it is non-recurring.
- Delayed interest payment due to statutory holiday:** Management states that the balance of the cash and cash equivalents account, and accounts payable and accrued expenses account are higher than usual as of Mar-24 partially due to interest payments being deferred to Apr-24 due to the timing of a statutory holiday. This adjustment decreases accounts payable by the amount of interest expense deferred to Apr-24.
- One-time Scene + reorganization:** In Dec-20, the Company received \$60.0 million from its existing partner with respect to an agreement to reorganize the program. The balance is recognized upon the completion of specific non-financial milestones. This adjustment removes the deferred revenue associated with the reorganization as it is non-recurring in nature.
- COVID-19 related government grants:** The adjustment removes the AR impact of the government grants stemming from COVID-19 from QofE diligence adjustment #11 as it is non-recurring.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Net working capital (4/5) – Pro forma adjustments

| Net working capital                            |     |                  |                  |                  |
|------------------------------------------------|-----|------------------|------------------|------------------|
| \$'000                                         | Ref | Average          |                  |                  |
|                                                |     | FY21             | FY22             | TTM Mar-24       |
| <b>Net working capital, reported</b>           |     | <b>(338,413)</b> | <b>(344,350)</b> | <b>(265,515)</b> |
| Definitional adjustments                       |     | 73,062           | 65,137           | 41,876           |
| Diligence adjustments                          |     | (15,081)         | 9,188            | (13,485)         |
| <b>Net working capital, diligence adjusted</b> |     | <b>(280,432)</b> | <b>(270,026)</b> | <b>(237,124)</b> |
| <i>As % of TTM net sales</i>                   |     | <i>(50.4%)</i>   | <i>(27.9%)</i>   | <i>(18.1%)</i>   |
| <b>Pro forma adjustments</b>                   |     |                  |                  |                  |
| Trade and other receivables                    |     | 699              | 1,499            | 1,621            |
| Inventories                                    |     | 304              | 663              | 639              |
| Prepaid expenses and other current assets      |     | 163              | 325              | 337              |
| Gift cards                                     |     | (1,067)          | (2,631)          | (3,143)          |
| Accounts payable and accrued expenses          |     | (1,579)          | (3,172)          | (3,231)          |
| New LBE locations                              | 15  | (1,480)          | (3,316)          | (3,777)          |
| Pro forma adjustments                          |     | (1,480)          | (3,316)          | (3,777)          |
| <b>Net working capital, pro forma adjusted</b> |     | <b>(281,913)</b> | <b>(273,342)</b> | <b>(240,901)</b> |
| <i>As % of TTM net sales</i>                   |     | <i>(50.7%)</i>   | <i>(28.3%)</i>   | <i>(18.4%)</i>   |

## Pro forma adjustments

**15. NWC impact of pro forma adjustments:** With the opening of 3 new LBE locations in Q4-24, this adjustment, following QofE adjustment # 12, adjusts pro forma trade and other receivables, inventories, prepaid expenses, accounts payables, and gift card deferred revenue into the scope period.

- I. **LBE NWC associated with the 3 new locations** was calculated as a percentage of LBE revenue to total revenue in each historical quarter. The Company had 13 LBE locations across the scope period and the associated NWC for LBEs was applied evenly to the 13 locations to calculate the NWC for each location.
- II. Refer to the appendix for more detailed information on the assumptions employed and calculations made for this adjustment.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Net working capital (5/5) – Other considerations

## Other considerations

The following items have been discussed by Management and should be considered for future events which may impact working capital.

- A. Cadillac Fairview contracts:** As part of the Company's digital place-based media segment, a contract was penned with Cadillac Fairview to operate a network of 200 digital displays in 18 Cadillac Fairview shopping centres, and to sell digital and static media, and sponsorships, for its extensive network of shopping destinations across Canada. Operations have begun in Q1-24 but management has not specified any net working capital associated with this contract.
- B. Lost contracts within digital place-based media:** Management did not specify lost contracts. Pending more detail information on any lost contracts within the scope period, an analysis would be performed.
- C. Accrued vacation:** The current balance of accrued vacation paid to employees is non-quantifiable, however it should be considered for a working capital adjustment, as it is an obligation from previous management and post-acquisition it may be treated as debt.
- D. Restricted cash:** Depending on the full breakdown of restricted cash and its restrictions, some portions of restricted cash may be considered as part of working capital. This includes cash that is restricted purely for operating activities, for example, in cash registers, which may be considered similar to a prepaid expense or deposit, which can be included in working capital.
- E. Key management salary:** Current executives include Ellis Jacob (CEO), Gord Nelson (CFO), Dan McGrath (COO), Fabrizio Stanghieri (EVP & MD, Media), and Kevin Watts (EVP, Exhibition & LBE). Total compensation for the FY23 period was \$3.6 million, \$1.5 million, \$1.7 million, \$719,000, and \$696,000 for each executive respectively. Depending on any changes to management's go-forward compensation, an appropriate bonus and payroll accrual will need to be established. Refer to the appendix for an executive compensation analysis of comparable companies.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Net working capital – Days analysis

| Working capital metrics, adjusted |       |      |      |        |
|-----------------------------------|-------|------|------|--------|
|                                   | FY21  | FY22 | FY23 | Mar-24 |
| <b>DSO</b>                        |       |      |      |        |
| Max                               | 23    | 28   | 28   | 28     |
| Average                           | 19    | 19   | 20   | 21     |
| Min                               | 10    | 11   | 14   | 17     |
| Variance from high                | 4     | 10   | 9    | 7      |
| Variance from low                 | (9)   | (7)  | (6)  | (4)    |
| <b>DIO</b>                        |       |      |      |        |
| Max                               | 319   | 22   | 17   | 17     |
| Average                           | 17    | 17   | 14   | 14     |
| Min                               | 12    | 13   | 11   | 11     |
| Variance from high                | 302   | 5    | 3    | 3      |
| Variance from low                 | (5)   | (4)  | (3)  | (3)    |
| <b>DPO</b>                        |       |      |      |        |
| Max                               | 43    | 50   | 47   | 47     |
| Average                           | 40    | 42   | 39   | 41     |
| Min                               | 38    | 37   | 30   | 30     |
| Variance from high                | 2     | 9    | 8    | 6      |
| Variance from low                 | (3)   | (5)  | (9)  | (11)   |
| <b>Cash conversion cycle</b>      |       |      |      |        |
| Max                               | 302   | (4)  | (1)  | (1)    |
| Average                           | 90    | (7)  | (5)  | (8)    |
| Min                               | (13)  | (10) | (14) | (14)   |
| Variance from high                | 212   | 3    | 4    | 7      |
| Variance from low                 | (103) | (3)  | (8)  | (6)    |

1

DSO for Q1-21 and Q2-21 exhibits a higher peak as a result of the decline in sales during the pandemic attributed to reduced activities.

The general decrease of DSO in Q3 is primarily due to the collection of trade receivables from the sale to gift card resellers, vouchers and media sales from the prior holiday period.

The DSO has returned to its usual state and maintains a consistent average of 20 days.

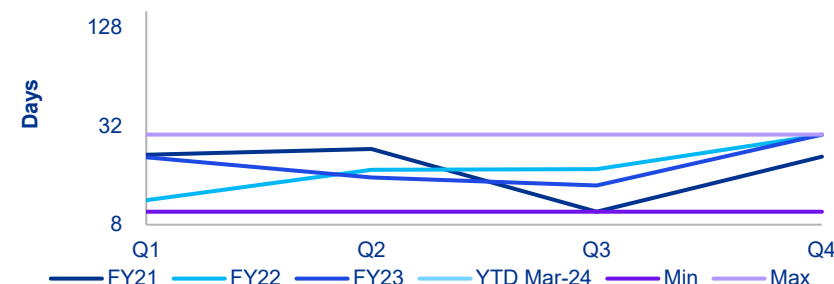
2

During the first half of FY21, the outstanding inventory duration was longer than usual due to decreased operations resulting from the COVID-19 pandemic. With operations resuming at theaters and LBE venues, the DIO reinstates to its original state.

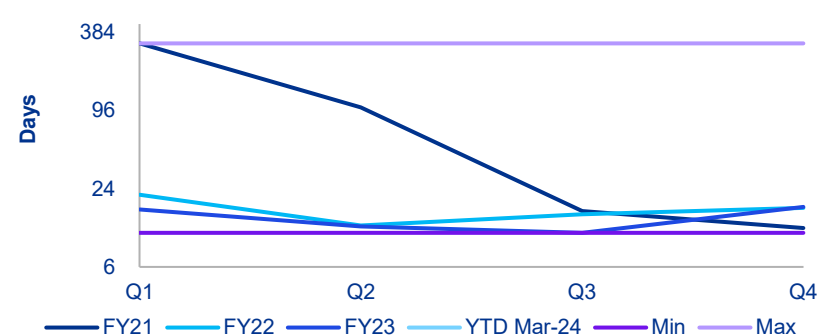
3

The DPO shows slight fluctuations over the historical period, but maintains an average of 35 days. This stability can be attributed to enduring relationships with vendors and of the inherent characteristics of the industry.

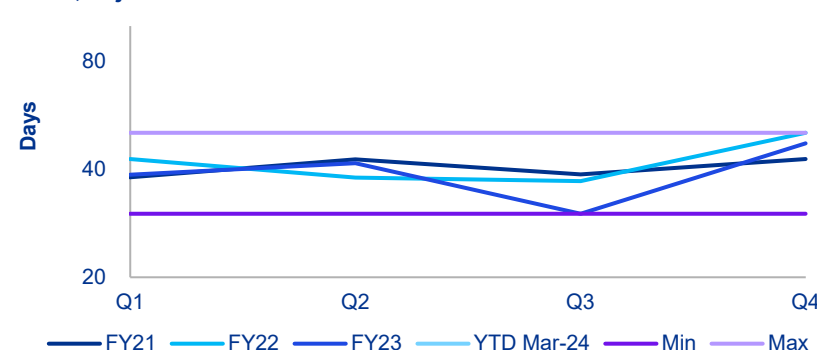
DSO, adjusted



DIO, adjusted



DPO, adjusted



Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Net debt – Overview (1/2)

| Net debt                                    |      |                  |
|---------------------------------------------|------|------------------|
| \$'000                                      | Ref. | As at            |
|                                             |      | 31-Mar-24        |
| Long-term debt                              | 1    | (731,452)        |
| Other liabilities                           |      | (6,250)          |
| <b>Net debt / (cash), reported</b>          |      | <b>(737,702)</b> |
| <b>Definitional adjustments</b>             |      |                  |
| Cash and cash equivalents                   | 2    | 92,292           |
| Income taxes receivable                     | 3    | 3,503            |
| Fair value of interest rate swap agreements | 4    | -                |
| Right-of-use assets                         | 5    | 783,113          |
| Deferred income taxes                       | 6    | 146,393          |
| Derivative financial instrument             | 7    | 12,060           |
| Income taxes payable                        | 8    | (245)            |
| Lease obligations (current portion)         |      | (88,711)         |
| Lease obligations                           |      | (1,018,576)      |
| Lease obligations                           | 9    | (1,107,287)      |
| Post employment benefit obligations         | 10   | (6,847)          |
| Definitional adjustments                    |      | (77,018)         |
| <b>Net debt, definitional adjusted</b>      |      | <b>(814,720)</b> |
| Diligence adjustments                       |      | (42,997)         |
| <b>Net debt, diligence adjusted</b>         |      | <b>(857,717)</b> |

## Overview

### Net debt

1. **Long-term debt:** Includes convertible debentures of \$156.45 million and notes payable of \$575.0 million.

### Definitional adjustments

2. **Cash and cash equivalents:** Consists of \$92.3 million in cash. Management did not specify if restricted cash is included in this amount.
3. **Income taxes receivable:** Consists of the amount of income taxes that the Company is due to receive back.
4. **Fair value of interest rate swap agreements (assets):** Items related to decreasing foreign exchange rate exposure on interest expenses.
5. **Right-of-use assets:** Consists of leased property and equipment associated with lease obligations owed to the lessor.
6. **Deferred income taxes:** Based on substantively enacted corporate tax rates, expected timing of reversal and expected taxable income allocation to various tax jurisdictions.
7. **Derivative financial instruments:** Relates to financial contracts whose value is derived from notes payable.
8. **Income taxes payable:** Consists of income tax withholdings and accruals that have been removed from net working capital and added to net debt.
9. **Lease obligations:** Include current portion of lease obligations. This relates to the leases for theatres and location-based entertainment facilities, and is considered a debt obligation to the lessor.
10. **Post employment benefit obligations:** The Company sponsors a defined benefit supplementary executive retirement plan ("DB SERP"). The Company also sponsors the Retirement Plan for Salaried Employee of Famous Players Limited Partnership, a defined pension plan, and the Famous Players Retirement Excess Plan. The plans have a cumulative defined benefit obligation of \$6.8 million. This is added to net debt as it is an obligation from previous management.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Net debt – Overview (2/2)

| Net debt                                |      |                  |
|-----------------------------------------|------|------------------|
| \$'000                                  | Ref. | As at            |
|                                         |      | 31-Mar-24        |
| Long-term debt                          | 1    | (731,452)        |
| Other liabilities                       |      | (6,250)          |
| <b>Net debt / (cash), reported</b>      |      | <b>(737,702)</b> |
| Definitional adjustments                |      | (77,018)         |
| <b>Net debt, definitional adjusted</b>  |      | <b>(814,720)</b> |
| <b>Diligence adjustments</b>            |      |                  |
| Capital commitments                     | 11   | (35,000)         |
| Share-based compensation                | 12   | (5,394)          |
| Cash impact of delayed interest payment | 13   | (2,603)          |
| Diligence adjustments                   |      | (42,997)         |
| <b>Net debt, diligence adjusted</b>     |      | <b>(857,717)</b> |

## Overview (continued)

### Diligence adjustments

11. **Capital commitments:** The Company has aggregate gross capital commitments of \$43.0 million (\$35.0 million net of tenant inducements) related to the completion of construction of one theatre, three location-based entertainment locations and other premium experiences.
12. **Share-based compensation:** The company offers share-based compensation in the form of an incentive plan with RSU and PSU awards. We recommend that this be settle prior to close.
13. **Cash impact of deferred interest payment:** Management states that the balance of the cash and cash equivalent account, and accounts payable and accrued expenses account are higher than usual as of Mar-24 due to interest payments being deferred to Apr-24 due to the timing of a statutory holiday. This adjustment decreases cash by the amount of interest expense deferred to Apr-24.

### Other considerations

- A. **Cost to serve deferred revenue:** Consideration to quantify the estimated cost to deliver the deferred revenue balance. This calculation was derived from the reciprocal of the gross margin as of Mar-24, multiplied by the associated deferred revenue.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# 06

## Appendices

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# Industry salary comparison

Industry-wide comparison between various high-level executives of industry-leading entertainment companies.

| Industry salary comparison            |              |              |              |                                            |               |               |               |                                     |               |               |               |
|---------------------------------------|--------------|--------------|--------------|--------------------------------------------|---------------|---------------|---------------|-------------------------------------|---------------|---------------|---------------|
| \$'000                                | FY21         | FY22         | FY23         | \$'000                                     | FY21          | FY22          | FY23          | \$'000                              | FY21          | FY22          | FY23          |
| <b>Cineplex</b>                       |              |              |              | <b>Cinemark</b>                            |               |               |               | <b>AMC Entertainment</b>            |               |               |               |
| Ellis Jacob (CEO)                     | 2,582        | 2,484        | 3,593        | Sean Gamble (CEO)                          | 3,989         | 7,749         | 11,881        | Adam Aron (CEO)                     | 23,703        | 30,862        | 34,326        |
| Gord Nelson (CFO)                     | 1,128        | 1,151        | 1,454        | Melissa Thomas (CFO)                       | 5,193         | 3,120         | 3,634         | Sean Goodman (CFO)                  | 5,907         | 8,164         | 9,121         |
| Dan McGrath (COO)                     | 1,527        | 1,360        | 1,733        | Michael Cavalier (General Counsel)         | 2,780         | 3,241         | 3,677         | Elizabeth Frank (CCO)               | 3,189         | 3,927         | 4,424         |
| Fabrizio Stanghieri (EVP & MD, Media) | 663          | 680          | 719          | Valmir Fernandes (International President) | 2,488         | 2,997         | 3,411         | Daniel Ellis (CODO)                 | -             | 3,623         | 4,075         |
| Kevin Watts (EVP, Exhibiton & LBE)    | 556          | 639          | 696          | Wanda Gierhart (CMO)                       | -             | 2,637         | 3,513         | Kevin Connor (SVP, General Counsel) | -             | 3,344         | 3,720         |
| <b>Total executive compensation</b>   | <b>6,456</b> | <b>6,315</b> | <b>8,195</b> | <b>Total executive compensation</b>        | <b>14,450</b> | <b>19,744</b> | <b>26,116</b> | <b>Total executive compensation</b> | <b>32,799</b> | <b>49,921</b> | <b>55,666</b> |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, Company Financials



# Sale of Player One Amusement Group

On November 22, 2023, Cineplex Entertainment Limited Partnership (“CELP”) announced that it had entered into a definitive share purchase agreement to sell 100% of the issued and outstanding shares of Player One Amusement Group Inc. (“P1AG”) for cash proceeds of \$155.0 million, subject to customary post-closing adjustments (the “Sale Transaction”). The Sale Transaction closed on February 1, 2024. On closing of the Sale Transaction, P1AG and CELP entered into a long-term agreement under which P1AG will continue to supply and service amusement games in the Company’s theatres and location-based entertainment venues. The proceeds from the Sale Transaction were used to repay bank debt. In connection with the sale of P1AG during the first quarter, the Company recognized total net income, net of taxes, from discontinued operations of \$68.1 million. That income included a material gain of \$67.3 million, net of income taxes.

| P1AG summary                          |              |               |               |               |
|---------------------------------------|--------------|---------------|---------------|---------------|
| \$'000                                | Reported     |               |               |               |
|                                       | FY21         | FY22          | FY23          | TTM Mar-24    |
| Revenues                              | 100,282      | 165,681       | 193,759       | 144,157       |
| Operating expenses                    | 87,579       | 134,155       | 153,534       | 113,978       |
| Cash rent related to lease obligation | 3,994        | 4,055         | 4,493         | 3,313         |
| Total expenses                        | 91,573       | 138,210       | 158,027       | 117,291       |
| <b>P1AG adjusted EBITDA</b>           | <b>8,709</b> | <b>27,471</b> | <b>35,732</b> | <b>26,866</b> |

Source: 2021-Q1 2024 Cineplex Inc. Management’s Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements



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# Litigation arising from Cineworld transaction

The Company commenced an action against Cineworld as a result of Cineworld's repudiation of the Arrangement Agreement. Cineworld filed a counterclaim against the Company for an unspecified amount of costs that it incurred as a result of the Company's alleged breaches of the Arrangement Agreement.

On December 14, 2021, the Court released its Decision. The Court held that the Company did not breach any of its covenants in the Arrangement Agreement, and that Cineworld had no basis for terminating the Arrangement Agreement. The Court held that Cineworld breached the Arrangement Agreement and repudiated the transaction to acquire the Company, which actions precluded the Company from seeking specific performance and entitled the Company to monetary damages. The Court awarded damages for breach of contract to the Company in the amount of \$1.24 billion on account of lost synergies, and \$5.5 million for transaction costs, exclusive of pre-judgment interest.

On January 12, 2022, Cineworld filed a Notice of Appeal with the Court of Appeal for Ontario and on January 27, 2022, the Company filed its Appeal. On September 7, 2022, the Cineworld Parties filed a petition, in the U.S. Bankruptcy Court, commencing bankruptcy proceedings under Chapter 11. On September 8, 2022, the U.S. Bankruptcy Court granted relief requested by the Cineworld Parties in the Chapter 11 proceedings, including an order confirming and enforcing a worldwide stay of all enforcement proceedings by Cineworld's creditors. Cineworld took the position that the Appeal was therefore stayed. On September 9, 2022, the Company filed an emergency motion with the U.S. Bankruptcy Court, seeking to lift the stay with respect to the Appeal. The Company's emergency motion was heard on September 28, 2022, at which time the U.S. Bankruptcy Court declined the Company's requested relief, without prejudice to the Company's ability to seek such relief at a later date. The Company continues to evaluate and advance all options to maximize and monetize the value of the Judgment. As part of these ongoing efforts, the Company has engaged Moelis & Company, a leading global investment bank with significant expertise in these areas, as financial advisors, and Goodmans LLP, as lead counsel. The Company has also been appointed as a member of the unsecured creditors' committee in the Cineworld Parties' Chapter 11 proceedings.

While the judgment and next steps are a key focus for the Company and its advisors, due to uncertainties inherent in appeals and Cineworld's insolvency proceedings, it is not possible for the Company to predict the timing or final outcome of the Appeal.

| Litigation costs         |               |              |              |               |
|--------------------------|---------------|--------------|--------------|---------------|
| \$'000                   | FY21          | FY22         | FY23         | TTM<br>Mar-24 |
| Litigation costs         | (11,400)      | (3,600)      | (3,500)      | (4,500)       |
| <b>EBITDA adjustment</b> | <b>11,400</b> | <b>3,600</b> | <b>3,500</b> | <b>4,500</b>  |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements

# Gross margin analysis

| Gross margin analysis            |                |                  |                  |                  |                  |                  |                  |                  |                |                |                |                |              |              |              |              |
|----------------------------------|----------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|----------------|----------------|----------------|----------------|--------------|--------------|--------------|--------------|
| \$'000                           | Total revenue  |                  |                  |                  | Total cost       |                  |                  |                  | Gross profit   |                |                |                | Gross margin |              |              |              |
|                                  | FY21           | FY22             | FY23             | TTM Mar-24       | FY21             | FY22             | FY23             | TTM Mar-24       | FY21           | FY22           | FY23           | TTM Mar-24     | FY21         | FY22         | FY23         | TTM Mar-24   |
| Box office/Other revenues        | 274,811        | 541,131          | 706,790          | 709,647          | (285,625)        | (533,624)        | (670,750)        | (672,856)        | (10,814)       | 7,507          | 36,040         | 36,791         | (3.9%)       | 1.4%         | 5.1%         | 5.2%         |
| Food service/delivery - theatres | 172,253        | 341,692          | 434,433          | 435,630          | (37,697)         | (76,607)         | (100,428)        | (100,865)        | 134,556        | 265,085        | 334,005        | 334,765        | 78.1%        | 77.6%        | 76.9%        | 76.8%        |
| Film entertainment and content   | 447,064        | 882,823          | 1,141,223        | 1,145,277        | (323,322)        | (610,231)        | (771,178)        | (773,721)        | 123,742        | 272,592        | 370,045        | 371,556        | 27.7%        | 30.9%        | 32.4%        | 32.4%        |
| Food service/delivery - LBE      | 14,745         | 39,694           | 48,716           | 48,269           | (3,986)          | (11,095)         | (13,559)         | (13,389)         | 10,759         | 28,599         | 35,157         | 34,880         | 73.0%        | 72.0%        | 72.2%        | 72.3%        |
| Other revenue                    | 29,248         | 68,636           | 80,300           | 80,043           | (31,331)         | (65,376)         | (80,871)         | (82,890)         | (2,083)        | 3,260          | (571)          | (2,847)        | (7.1%)       | 4.7%         | (0.7%)       | (3.6%)       |
| Location based entertainment     | 43,993         | 108,330          | 129,016          | 128,312          | (35,317)         | (76,471)         | (94,430)         | (96,279)         | 8,676          | 31,859         | 34,586         | 32,033         | 19.7%        | 29.4%        | 26.8%        | 25.0%        |
| Media                            | 65,330         | 111,728          | 118,655          | 118,709          | (37,266)         | (50,302)         | (51,767)         | (52,496)         | 28,064         | 61,426         | 66,888         | 66,213         | 43.0%        | 55.0%        | 56.4%        | 55.8%        |
| <b>Total</b>                     | <b>556,387</b> | <b>1,102,881</b> | <b>1,388,894</b> | <b>1,392,298</b> | <b>(395,905)</b> | <b>(737,004)</b> | <b>(917,375)</b> | <b>(922,496)</b> | <b>160,482</b> | <b>365,877</b> | <b>471,519</b> | <b>469,802</b> | <b>28.8%</b> | <b>33.2%</b> | <b>33.9%</b> | <b>33.7%</b> |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Segment Analysis

| Revenue by segment                    |                  |                  |                  |                  |                 |                |                |                |               |              |               |
|---------------------------------------|------------------|------------------|------------------|------------------|-----------------|----------------|----------------|----------------|---------------|--------------|---------------|
| \$'000                                | Reported         |                  |                  |                  | As % of revenue |                |                |                | QoQ change    |              |               |
|                                       | FY21             | FY22             | FY23             | TTM Mar-24       | FY21            | FY22           | FY23           | TTM Mar-24     | FY22          | FY23         | TTM Mar-24    |
| Box office revenues                   | 236,320          | 461,272          | 599,903          | 601,626          | 42.5%           | 41.8%          | 43.2%          | 43.2%          | 95.2%         | 30.1%        | 0.3%          |
| Food service - theatres               | 159,201          | 331,567          | 425,865          | 427,273          | 28.6%           | 30.1%          | 30.7%          | 30.7%          | 108.3%        | 28.4%        | 0.3%          |
| Food delivery - theatres              | 13,052           | 10,125           | 8,568            | 8,357            | 2.3%            | 0.9%           | 0.6%           | 0.6%           | (22.4%)       | (15.4%)      | (2.5%)        |
| Amusement revenue - exhibition        | 4,943            | 12,284           | 16,207           | 16,079           | 0.9%            | 1.1%           | 1.2%           | 1.2%           | 148.5%        | 31.9%        | (0.8%)        |
| Other revenues                        | 33,548           | 67,575           | 90,680           | 91,942           |                 |                |                |                |               |              |               |
| Film entertainment and content        | 447,064          | 882,823          | 1,141,223        | 1,145,277        | 80.4%           | 80.0%          | 82.2%          | 82.3%          | 97.5%         | 29.3%        | 0.4%          |
| Food service - LBE                    | 14,613           | 39,694           | 48,716           | 48,269           | 2.6%            | 3.6%           | 3.5%           | 3.5%           | 171.6%        | 22.7%        | (0.9%)        |
| Food delivery - LBE                   | 132              | -                | -                | -                | 0.0%            | -              | -              | -              | (100.0%)      | -            | -             |
| Amusement revenue - LBE               | 29,248           | 68,636           | 80,300           | 80,043           | 5.3%            | 6.2%           | 5.8%           | 5.7%           | 134.7%        | 17.0%        | (0.3%)        |
| Location based entertainment          | 43,993           | 108,330          | 129,016          | 128,312          | 7.9%            | 9.8%           | 9.3%           | 9.2%           | 146.2%        | 19.1%        | (0.5%)        |
| Cinema media                          | 32,958           | 72,275           | 80,057           | 78,189           | 5.9%            | 6.6%           | 5.8%           | 5.6%           | 119.3%        | 10.8%        | (2.3%)        |
| Digital place-based media             | 32,372           | 39,453           | 38,598           | 40,520           | 5.8%            | 3.6%           | 2.8%           | 2.9%           | 21.9%         | (2.2%)       | 5.0%          |
| Media                                 | 65,330           | 111,728          | 118,655          | 118,709          | 11.7%           | 10.1%          | 8.5%           | 8.5%           | 71.0%         | 6.2%         | 0.0%          |
| <b>Revenue</b>                        | <b>556,387</b>   | <b>1,102,881</b> | <b>1,388,894</b> | <b>1,392,298</b> | <b>100.0%</b>   | <b>100.0%</b>  | <b>100.0%</b>  | <b>100.0%</b>  | <b>98.2%</b>  | <b>25.9%</b> | <b>0.2%</b>   |
| Film cost                             | (114,674)        | (238,897)        | (323,412)        | (322,165)        | (20.6%)         | (21.7%)        | (23.3%)        | (23.1%)        | 108.3%        | 35.4%        | (0.4%)        |
| Cost of food service - theatre        | (37,697)         | (76,607)         | (100,428)        | (100,865)        | (6.8%)          | (6.9%)         | (7.2%)         | (7.2%)         | 103.2%        | 31.1%        | 0.4%          |
| Theatre occupancy expenses            | (40,945)         | (62,378)         | (71,557)         | (71,556)         | (7.4%)          | (5.7%)         | (5.2%)         | (5.1%)         | 52.3%         | 14.7%        | (0.0%)        |
| Theatre payroll                       | (63,818)         | (126,311)        | (157,954)        | (160,485)        | (11.5%)         | (11.5%)        | (11.4%)        | (11.5%)        | 97.9%         | 25.1%        | 1.6%          |
| Theatre operating expenses            | (66,188)         | (106,038)        | (117,827)        | (118,650)        | (11.9%)         | (9.6%)         | (8.5%)         | (8.5%)         | 60.2%         | 11.1%        | 0.7%          |
| Film entertainment and content        | (323,322)        | (610,231)        | (771,178)        | (773,721)        | (58.1%)         | (55.3%)        | (55.5%)        | (55.6%)        | 88.7%         | 26.4%        | 0.3%          |
| Cost of food service - LBE            | (3,986)          | (11,095)         | (13,559)         | (13,389)         | (0.7%)          | (1.0%)         | (1.0%)         | (1.0%)         | 178.3%        | 22.2%        | (1.3%)        |
| Operating expenses                    | (23,481)         | (54,695)         | (69,903)         | (71,904)         | (4.2%)          | (5.0%)         | (5.0%)         | (5.2%)         | 132.9%        | 27.8%        | 2.9%          |
| Cash rent related to lease obligation | (7,850)          | (10,681)         | (10,968)         | (10,986)         | (1.4%)          | (1.0%)         | (0.8%)         | (0.8%)         | 36.1%         | 2.7%         | 0.2%          |
| Location based entertainment          | (35,317)         | (76,471)         | (94,430)         | (96,279)         | (6.3%)          | (6.9%)         | (6.8%)         | (6.9%)         | 116.5%        | 23.5%        | 2.0%          |
| Media operating expenses              | (37,266)         | (50,302)         | (51,767)         | (52,496)         | (6.7%)          | (4.6%)         | (3.7%)         | (3.8%)         | 35.0%         | 2.9%         | 1.4%          |
| <b>Operating expenses</b>             | <b>(395,905)</b> | <b>(737,004)</b> | <b>(917,375)</b> | <b>(922,496)</b> | <b>(71.2%)</b>  | <b>(66.8%)</b> | <b>(66.1%)</b> | <b>(66.3%)</b> | <b>86.2%</b>  | <b>24.5%</b> | <b>0.6%</b>   |
| <b>Gross margin</b>                   | <b>160,482</b>   | <b>365,877</b>   | <b>471,519</b>   | <b>469,802</b>   | <b>28.8%</b>    | <b>33.2%</b>   | <b>33.9%</b>   | <b>33.7%</b>   | <b>128.0%</b> | <b>28.9%</b> | <b>(0.4%)</b> |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis

# QofE – Adjustment #12

1

## Calculation:

### LBE summary

| \$'000                                 | FY21   | FY22   | FY23   | TTM<br>Mar-24 |          |
|----------------------------------------|--------|--------|--------|---------------|----------|
| Food service revenues                  | 14,945 | 39,694 | 48,716 | 48,269        | <i>a</i> |
| Amusement revenues                     | 29,248 | 68,636 | 80,300 | 80,043        | <i>b</i> |
| Media and other revenues               | 769    | 2,501  | 3,362  | 3,480         | <i>c</i> |
| Cost of food service                   | 3,986  | 11,095 | 13,559 | 13,389        | <i>d</i> |
| Operating costs                        | 23,481 | 54,695 | 69,903 | 71,904        | <i>e</i> |
| Cash rent related to lease obligations | 7,850  | 10,681 | 10,968 | 10,986        | <i>f</i> |

2

### LBE summary

| \$'000                                 | FY21  | FY22   | FY23   | TTM<br>Mar-24 |                 |
|----------------------------------------|-------|--------|--------|---------------|-----------------|
| Food service revenues                  | 3,449 | 9,160  | 11,242 | 11,139        | <i>(a/13)*3</i> |
| Amusement revenues                     | 6,750 | 15,839 | 18,531 | 18,471        | <i>(b/13)*3</i> |
| Media and other revenues               | 177   | 577    | 776    | 803           | <i>(c/13)*3</i> |
| Cost of food service                   | 920   | 2,560  | 3,129  | 3,090         | <i>(d/13)*3</i> |
| Operating costs                        | 5,419 | 12,622 | 16,131 | 16,593        | <i>(e/13)*3</i> |
| Cash rent related to lease obligations | 1,812 | 2,465  | 2,531  | 2,535         | <i>(f/13)*3</i> |

1

The aside presents the various income statement accounts associated with the Company's 13 current location-based entertainment venues across the scope period.

2

The estimated effect of the three new locations coming in Q1-24 is applied as if they existed historically. The effect is calculated by dividing each line item by 13 for each location, assuming each location creates equal revenues and expenses. This is then multiplied by three to give an estimation of the revenues and expenses associated with the three new locations. This is then summed together to reach the final EBITDA adjustment.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# NWC – Adjustment #10 (1/2)

1

## Calculation:

### Assets/liabilities held for sale - P1AG

|                                           | As at     |           |               |           | Average |      |               |                   |
|-------------------------------------------|-----------|-----------|---------------|-----------|---------|------|---------------|-------------------|
|                                           | 31-Dec-21 | 31-Dec-22 | 31-Dec-23     | 31-Mar-24 | FY21    | FY22 | FY23          | TTM<br>Mar-24     |
| <b>\$'000</b>                             |           |           |               |           |         |      |               |                   |
| Trade and other receivables               |           |           | 11,526        |           |         |      | 11,526        | 11,526 <i>a</i>   |
| Inventories                               |           |           | 22,116        |           |         |      | 22,116        | 22,116 <i>b</i>   |
| Prepaid expenses and other current assets |           |           | 2,633         |           |         |      | 2,633         | 2,633 <i>c</i>    |
| Accounts payable and accrued expenses     |           |           | (10,407)      |           |         |      | (10,407)      | (10,407) <i>d</i> |
| Deferred revenue                          |           |           | (2,515)       |           |         |      | (2,515)       | (2,515) <i>e</i>  |
| <b>Total</b>                              |           |           | <b>23,353</b> |           |         |      | <b>23,353</b> | <b>23,353</b>     |

1

The aside presents the balance sheet accounts of assets and liabilities held for sale broken down into its associated accounts.

2

The aside presents the corresponding total net working capital accounts.

2

### NWC accounts

|                                           | As at            |                  |                  |           | Average          |                  |                  |                    |
|-------------------------------------------|------------------|------------------|------------------|-----------|------------------|------------------|------------------|--------------------|
|                                           | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24 | FY21             | FY22             | FY23             | TTM<br>Mar-24      |
| <b>\$'000</b>                             |                  |                  |                  |           |                  |                  |                  |                    |
| Trade and other receivables               | 80,679           | 107,088          | 97,689           | -         | 52,559           | 74,033           | 77,883           | 79,376 <i>f</i>    |
| Inventories                               | 24,899           | 36,916           | 17,624           | -         | 23,206           | 32,756           | 32,406           | 30,663 <i>g</i>    |
| Prepaid expenses and other current assets | 13,365           | 15,659           | 11,481           | -         | 12,656           | 16,058           | 16,973           | 16,538 <i>h</i>    |
| Accounts payable and accrued expenses     | (157,950)        | (195,296)        | (172,482)        | -         | (114,216)        | (156,864)        | (158,348)        | (162,088) <i>i</i> |
| Deferred revenue                          | (293,206)        | (220,527)        | (197,329)        | -         | (239,555)        | (245,197)        | (192,553)        | (188,737) <i>j</i> |
| <b>Total</b>                              | <b>(332,213)</b> | <b>(256,160)</b> | <b>(243,017)</b> | <b>-</b>  | <b>(265,351)</b> | <b>(279,214)</b> | <b>(223,639)</b> | <b>(224,249)</b>   |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# NWC – Adjustment #10 (2/2)

3

| NWC accounts                              |           |           |                  |           |          |          |                  |                   |
|-------------------------------------------|-----------|-----------|------------------|-----------|----------|----------|------------------|-------------------|
| \$'000                                    | As at     |           |                  |           | Average  |          |                  |                   |
|                                           | 31-Dec-21 | 31-Dec-22 | 31-Dec-23        | 31-Mar-24 | FY21     | FY22     | FY23             | TTM Mar-24        |
| Trade and other receivables               |           |           | 109,215          |           |          |          | 109,215          | 109,215 $k=a+f$   |
| Inventories                               |           |           | 39,740           |           |          |          | 39,740           | 39,740 $l=b+g$    |
| Prepaid expenses and other current assets |           |           | 14,114           |           |          |          | 14,114           | 14,114 $m=c+h$    |
| Accounts payable and accrued expenses     |           |           | (182,889)        |           |          |          | (182,889)        | (182,889) $n=d+i$ |
| Deferred revenue                          |           |           | (199,844)        |           |          |          | (199,844)        | (199,844) $o=e+j$ |
| <b>Total</b>                              | <b>-</b>  | <b>-</b>  | <b>(219,664)</b> | <b>-</b>  | <b>-</b> | <b>-</b> | <b>(219,664)</b> | <b>(219,664)</b>  |

4

| Assets/liabilities held for sale as a % of total |           |           |           |           |         |      |       |               |
|--------------------------------------------------|-----------|-----------|-----------|-----------|---------|------|-------|---------------|
| \$'000                                           | As at     |           |           |           | Average |      |       |               |
|                                                  | 31-Dec-21 | 31-Dec-22 | 31-Dec-23 | 31-Mar-24 | FY21    | FY22 | FY23  | TTM Mar-24    |
| Trade and other receivables                      |           |           | 10.6%     |           |         |      | 10.6% | 10.6% $p=a/k$ |
| Inventories                                      |           |           | 55.7%     |           |         |      | 55.7% | 55.7% $q=b/l$ |
| Prepaid expenses and other current assets        |           |           | 18.7%     |           |         |      | 18.7% | 18.7% $r=c/m$ |
| Accounts payable and accrued expenses            |           |           | 5.7%      |           |         |      | 5.7%  | 5.7% $s=d/n$  |
| Deferred revenue                                 |           |           | 1.3%      |           |         |      | 1.3%  | 1.3% $t=e/o$  |

5

| Assets/liabilities relating to P1AG       |               |               |              |           |               |               |               |               |
|-------------------------------------------|---------------|---------------|--------------|-----------|---------------|---------------|---------------|---------------|
| \$'000                                    | As at         |               |              |           | Average       |               |               |               |
|                                           | 31-Dec-21     | 31-Dec-22     | 31-Dec-23    | 31-Mar-24 | FY21          | FY22          | FY23          | TTM Mar-24    |
| Trade and other receivables               | 8,514         | 11,302        | 10,310       | -         | 5,547         | 7,813         | 8,219         | 8,377 $f*p$   |
| Inventories                               | 13,857        | 20,544        | 9,808        | -         | 12,915        | 18,229        | 18,035        | 17,065 $g*q$  |
| Prepaid expenses and other current assets | 2,493         | 2,921         | 2,142        | -         | 2,361         | 2,996         | 3,166         | 3,085 $h*r$   |
| Accounts payable and accrued expenses     | (8,988)       | (11,113)      | (9,815)      | -         | (6,499)       | (8,926)       | (9,011)       | (9,223) $i*s$ |
| Deferred revenue                          | (3,690)       | (2,775)       | (2,483)      | -         | (3,015)       | (3,086)       | (2,423)       | (2,375) $j*t$ |
| <b>Total</b>                              | <b>12,187</b> | <b>20,879</b> | <b>9,961</b> | <b>-</b>  | <b>11,308</b> | <b>17,026</b> | <b>17,986</b> | <b>16,928</b> |

3

The aside presents the sum of the broken down assets and liabilities accounts to its corresponding net working capital accounts to find a total. This total represents each total net working capital account as if P1AG assets and liabilities weren't reclassified into assets and liabilities held for sale.

4

The aside presents assets and liabilities held for sale as a percentage of the sum of assets and liabilities held for sale and their corresponding net working capital accounts. It is assumed that the amount of assets and liabilities relating to P1AG as a percentage of total assets and liabilities is the same throughout the historical period.

5

The aside presents an estimate of assets and liabilities relating to P1AG throughout the historical period as a percentage of assets and liabilities held for sale to the total corresponding net working capital amounts.

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# NWC – Adjustment #15

1

## Calculation:

### LBE revenue as a % of total revenue

|                    | As at     |           |           |           | Average |         |         |                   |
|--------------------|-----------|-----------|-----------|-----------|---------|---------|---------|-------------------|
|                    | 31-Dec-21 | 31-Dec-22 | 31-Dec-23 | 31-Mar-24 | FY21    | FY22    | FY23    | TTM Mar-24        |
| \$'000             |           |           |           |           |         |         |         |                   |
| Total revenue      | 299,951   | 350,124   | 315,078   | 294,759   | 164,167 | 317,141 | 385,685 | 374,135           |
| LBE revenue        | 19,601    | 31,626    | 33,993    | 34,497    | 11,241  | 27,708  | 33,095  | 32,948            |
| % of total revenue | 6.5%      | 9.0%      | 10.8%     | 11.7%     | 5.5%    | 8.7%    | 8.8%    | 9.2% <sup>a</sup> |

1

The aside presents the Company's total revenue, LBE revenue, and LBE revenue as a percentage of total revenue.

2

The aside presents the total net working capital accounts associated with LBEs.

3

The aside presents a calculation of each account's amount relating to LBE by multiplying the specific quarter's LBE revenue percentage by the total amount and then multiplying by 3/13 to reach an amount for the three new LBE locations coming in Q1-24. It is assumed here that each LBE location has equal assets and liabilities.

2

### NWC accounts

|                                           | As at            |                  |                  |                  | Average         |                  |                  |                        |
|-------------------------------------------|------------------|------------------|------------------|------------------|-----------------|------------------|------------------|------------------------|
|                                           | 31-Dec-21        | 31-Dec-22        | 31-Dec-23        | 31-Mar-24        | FY21            | FY22             | FY23             | TTM Mar-24             |
| \$'000                                    |                  |                  |                  |                  |                 |                  |                  |                        |
| Trade and other receivables               | 80,679           | 107,088          | 97,689           | 59,627           | 52,559          | 74,033           | 77,883           | 74,439 <sup>b</sup>    |
| Inventories                               | 24,899           | 36,916           | 17,624           | 16,315           | 23,206          | 32,756           | 32,406           | 27,076 <sup>c</sup>    |
| Prepaid expenses and other current assets | 13,365           | 15,659           | 11,481           | 13,832           | 12,656          | 16,058           | 16,973           | 15,861 <sup>d</sup>    |
| Accounts payable and accrued expenses     | (157,950)        | (195,296)        | (172,482)        | (177,150)        | (114,216)       | (156,864)        | (158,348)        | (165,854) <sup>e</sup> |
| Gift cards                                | (123,431)        | (144,078)        | (129,656)        | (121,295)        | (67,556)        | (130,505)        | (158,711)        | (153,958) <sup>f</sup> |
| <b>NWC adjustment</b>                     | <b>(162,438)</b> | <b>(179,711)</b> | <b>(175,344)</b> | <b>(208,671)</b> | <b>(93,351)</b> | <b>(164,522)</b> | <b>(189,797)</b> | <b>(202,436)</b>       |

3

### NWC accounts

|                                           | As at          |                |                |                | Average        |                |                |                                 |
|-------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|---------------------------------|
|                                           | 31-Dec-21      | 31-Dec-22      | 31-Dec-23      | 31-Mar-24      | FY21           | FY22           | FY23           | TTM Mar-24                      |
| \$'000                                    |                |                |                |                |                |                |                |                                 |
| Trade and other receivables               | 1,217          | 2,232          | 2,432          | 1,610          | 699            | 1,499          | 1,621          | 1,588 <sup>(a*b)*(3/13)</sup>   |
| Inventories                               | 375            | 770            | 439            | 441            | 304            | 663            | 639            | 526 <sup>(a*c)*(3/13)</sup>     |
| Prepaid expenses and other current assets | 202            | 326            | 286            | 374            | 163            | 325            | 337            | 322 <sup>(a*d)*(3/13)</sup>     |
| Accounts payable and accrued expenses     | (2,382)        | (4,071)        | (4,294)        | (4,784)        | (1,579)        | (3,172)        | (3,231)        | (3,554) <sup>(a*e)*(3/13)</sup> |
| Gift cards                                | (1,861)        | (3,003)        | (3,228)        | (3,276)        | (1,067)        | (2,631)        | (3,143)        | (3,129) <sup>(a*f)*(3/13)</sup> |
| <b>NWC adjustment</b>                     | <b>(2,450)</b> | <b>(3,746)</b> | <b>(4,366)</b> | <b>(5,636)</b> | <b>(1,480)</b> | <b>(3,316)</b> | <b>(3,777)</b> | <b>(4,247)</b>                  |

Source: 2021-Q1 2024 Cineplex Inc. Management's Discussion and Analysis, 2021-Q1 2024 Cineplex Inc. Financial Statements, KPMG Analysis



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# Glossary of terms and abbreviations

|                |                                            |
|----------------|--------------------------------------------|
| <b>AGM</b>     | Annual general meeting                     |
| <b>AMC</b>     | American movie channel                     |
| <b>AP</b>      | Accounts payable                           |
| <b>AR</b>      | Accounts receivable                        |
| <b>BPP</b>     | Box office revenues per patron             |
| <b>B</b>       | Billions                                   |
| <b>BS</b>      | Balance sheet                              |
| <b>CAD</b>     | Canadian dollar                            |
| <b>CAD'000</b> | Thousands of Canadian dollars              |
| <b>CAGR</b>    | Compound annual growth rate                |
| <b>CAPEX</b>   | Capital expenditures                       |
| <b>CCO</b>     | Chief compliance officer                   |
| <b>CDCP</b>    | Canadian digital cinema partnership        |
| <b>CDM</b>     | Cineplex digital media                     |
| <b>CELP</b>    | Cineplex entertainment limited partnership |
| <b>CEO</b>     | Chief executive officer                    |
| <b>CERS</b>    | Canada emergency rent subsidy              |
| <b>CEWS</b>    | Canada emergency wage subsidy              |
| <b>CFO</b>     | Chief financial officer                    |
| <b>CGU</b>     | Cash generating unit                       |
| <b>CMO</b>     | Chief marketing officer                    |

|                |                                                               |
|----------------|---------------------------------------------------------------|
| <b>CODO</b>    | Chief operations & development officer                        |
| <b>COO</b>     | Chief operating officer                                       |
| <b>CPP</b>     | Concession revenues per patron                                |
| <b>DB</b>      | Defined benefit                                               |
| <b>DIO</b>     | Days inventory outstanding                                    |
| <b>DPO</b>     | Days payable outstanding                                      |
| <b>DSO</b>     | Days sales outstanding                                        |
| <b>EBITDA</b>  | Earnings before interest, tax, depreciation, and amortization |
| <b>ECL</b>     | Expected credit loss                                          |
| <b>EVP</b>     | Executive vice president                                      |
| <b>FY2X</b>    | Fiscal year ended December 31, 202X                           |
| <b>G&amp;A</b> | General & Administration                                      |
| <b>IFRS</b>    | International Financial Reporting Standards                   |
| <b>IS</b>      | Income statement                                              |
| <b>LBE</b>     | Location-based entertainment                                  |
| <b>LLP</b>     | Limited liability partnership                                 |
| <b>M</b>       | Millions                                                      |
| <b>NWC</b>     | Net working capital                                           |
| <b>P&amp;L</b> | Profit and loss statement                                     |
| <b>P1AG</b>    | Player One Amusement Group                                    |
| <b>PSU</b>     | Performance share units                                       |

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|                    |                                          |
|--------------------|------------------------------------------|
| <b>QofE</b>        | Quality of earnings                      |
| <b>Q</b>           | Quarter                                  |
| <b>RSU</b>         | Restricted stock units                   |
| <b>SERP</b>        | Supplementary executive retirement plan  |
| <b>SVP</b>         | Senior vice president                    |
| <b>The Company</b> | Cineplex Inc.                            |
| <b>The Target</b>  | Cineplex Inc.                            |
| <b>THRP</b>        | Tourism and hospitality recovery program |
| <b>TSX</b>         | Toronto stock exchange                   |
| <b>TTM Mar-24</b>  | Trailing twelve months March 2024        |
| <b>US</b>          | United states                            |
| <b>USD</b>         | United states dollar                     |
| <b>YoY</b>         | Year over Year                           |
| <b>YTD</b>         | Year to date                             |



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